

IMC Unit 1 — Chapter 3 and 4 Notes

The Regulation of Financial Markets and Institutions | Legal Concepts

CONTENTS

0.1	UK Regulation	1
0.1.1	The UK Regulatory Structure	1
0.1.1.1	The Financial Conduct Authority	1
0.1.1.2	The Prudential Regulation Authority	2
0.1.1.3	The Financial Policy Committee	2
0.1.2	Dual-Regulated Firms	2
0.1.3	The Financial Services and Markets Act 2000 (as Amended)	3
0.1.4	Regulated Activities Order 2001 (as Amended)	3
0.1.5	Other Regulatory Bodies	3
0.1.5.1	The Payment Systems Regulator	3
0.1.5.2	The Competition and Markets Authority	3
0.1.5.3	The Information Commissioner’s Office	4
0.1.6	The Takeover Panel	4
0.1.7	Regulation of Pension Funds	5
0.1.8	FCA-Recognised Industry Codes	5
0.2	Assimilated EU Law and Other International Regulations Relating to UK Financial Services	6
0.2.1	UK and EU Financial Services Relationship	6
0.2.2	Retained EU Law, the FSMA 2023 and the REUL Act	6
0.2.3	UK MiFID Framework	7
0.2.4	UK Regime for UCITS	7
0.2.5	Alternative Investment Fund Managers Directive (UK AIFMD)	8
0.2.6	UK European Market Infrastructure Regulation (UK EMIR)	8
0.2.7	UK Benchmarks Regulation (UK BMR)	8
0.2.8	US FATCA and OECD Common Reporting Standard	9
0.3	The Financial Conduct Authority: Objectives and High-Level Standards	9
0.3.1	The Role and Statutory Objectives of the FCA	10
0.3.2	The FCA Handbook	10
0.3.3	Principles for Businesses	11
0.3.4	Senior Management Arrangements, Systems and Controls (SYSC)	11
0.3.4.1	Conflicts of Interest (SYSC 10)	12
0.3.4.2	Whistleblowing (SYSC 18)	12
0.3.4.3	Remuneration Codes (SYSC 19)	12
0.3.5	Applying for Permission to Carry On Regulated Activities	13
0.3.6	Senior Managers and Certification Regime (SM&CR)	14
0.3.6.1	Certification Regime	15
0.3.6.2	Conduct Rules	15
0.3.7	Training and Competence (TC)	16
0.3.8	Professionalism Requirements for Retail Investment Advisers	16
0.4	Regulation of Investment Exchanges and Clearing Houses	17
0.4.1	The Role of an Investment Exchange	17
0.4.2	UK MiFID Transparency Requirements	17
0.4.3	Key Market Bodies	18
0.4.4	Regulation of Derivatives Markets	18

0.5	FCA Business Standards	19
0.5.1	Client Categorisation	19
0.5.2	Financial Promotions and Other Communications	20
0.5.2.1	High-Risk Investment Promotions	21
0.5.2.2	Adviser Charging, Inducements and Fund Manager Charges	22
0.5.2.3	FCA Anti-Greenwashing Rule	23
0.5.3	Identifying Client Needs: Suitability and Appropriateness	24
0.5.3.1	Independent vs. Restricted Advice	25
0.5.4	Dealing and Managing	25
0.5.5	Investment Research	26
0.5.6	Product Governance and Disclosure Requirements	26
0.5.6.1	PRIIPs	27
0.5.6.2	Sustainability Disclosure Requirements (SDR) and Labelling	28
0.5.6.3	Cancellation Rights	28
0.5.6.4	Temporary Product Intervention	28
0.5.7	Record-Keeping and Reporting Information	28
0.5.8	Client Assets and Client Money Rules	29
0.5.8.1	Custody of Clients' Assets (CASS 6)	30
0.5.8.2	Client Money Rules (CASS 7)	30
0.6	FCA Supervision and Redress	31
0.6.1	Supervision and Enforcement Powers of the FCA	32
0.6.2	Complaints and the Financial Ombudsman Service	32
0.6.2.1	The Pensions Ombudsman	33
0.6.3	Financial Services Compensation Scheme (FSCS)	33
0.7	Financial Crime	34
0.7.1	Money Laundering and Terrorist Financing	34
0.7.2	The Joint Money Laundering Steering Group (JMLSG)	35
0.7.3	Insider Dealing	36
0.7.4	Market Abuse	37
0.7.5	Bribery Act 2010, Criminal Finances Act 2017 and Economic Crime and Corporate Transparency Act 2023	38

This chapter examines the regulatory framework governing the UK's financial services industry. It covers the roles of the Financial Conduct Authority (FCA), Prudential Regulation Authority (PRA), Bank of England (BoE), Financial Policy Committee (FPC), HM Treasury, the Competition and Markets Authority (CMA) and the Takeover Panel. The FCA is given particular prominence, since it holds the highest profile of these bodies for the purposes of this syllabus: its three operational objectives, its Handbook, its rules on business conduct, and its powers of supervision, discipline and redress. The chapter closes with an examination of financial crime – money laundering, insider dealing, market abuse and bribery – and the legislation used to combat it.

0.1 UK Regulation

0.1.1 The UK Regulatory Structure

The **Financial Services Act 2012** amended the **Financial Services and Markets Act 2000** (FSMA) to reform the UK's regulatory structure following the 2008 financial crisis. More recently, the **Financial Services and Markets Act 2023** further amended FSMA 2000, introducing new provisions appropriate to the post-Brexit era.

The current UK regulatory framework has three principal bodies:

- the **Financial Policy Committee (FPC)** – a macro-prudential regulator sitting within the BoE, monitoring and responding to systemic risk;
- the **Prudential Regulation Authority (PRA)** – the prudential regulator of banks, insurers and systemically important investment firms. Brought within the BoE by the Financial Services Act 2016, which also established the **Prudential Regulation Committee (PRC)** as the PRA's governing body; and
- the **Financial Conduct Authority (FCA)** – the conduct of business regulator for both retail and wholesale markets, with an emphasis on consumer protection.

DEFINITION: The **Bank of England (BoE)** sits at the apex of UK financial regulation, protecting and enhancing the stability of the UK financial system and working with HM Treasury, the PRA and the FCA. Its Special Resolution Unit resolves failing banks using the special resolution regime.

0.1.1.1 The Financial Conduct Authority

The FCA's **strategic objective** is to ensure that relevant markets function well. It has three **operational objectives**:

1. Secure an appropriate degree of protection for consumers.
2. Protect and enhance the integrity of the UK financial system.
3. Promote effective competition in the interests of consumers in the markets for regulated financial services and RIE-provided services.

In addition, the FCA has a **secondary objective** to facilitate: (1) the international competitiveness of the UK economy (particularly financial services); and (2) its medium-to-long-term growth.

Scope of FCA activity:

- Conduct of business regulation for all firms in retail and wholesale markets, including PRA-authorised firms.
- Lead regulator (including prudential supervision) for firms other than PRA-authorised firms – termed '**FCA-authorised firms**' under the Financial Services Act 2012.

- Markets regulation, except settlement systems and RCHs (regulated by the BoE). Where an institution provides both exchange and CCP clearing services, it is regulated by the FCA as an RIE and by the BoE as an RCH.
- Oversight of client assets, countering financial crime, and certain institutions outside the FSMA perimeter (e-money firms, payment service providers, mutual societies).

KEY RULE: The **Financial Services Act 2012** gives HM Treasury the power to set the boundary between the PRA and FCA, and gives the PRA power to require the FCA not to take specific action in defined circumstances. Both regulators must consult each other, other regulators, panels and the public on relevant issues.

The FCA takes a proactive approach to consumer protection following historical mis-selling scandals. It can intervene to impose requirements on, or ban, products, and can disclose the commencement of formal enforcement action. It can also ban misleading financial promotions immediately, without going through the enforcement process. From April 2014, the FCA absorbed regulation (from the Office of Fair Trading) of: consumer credit lending/brokering; credit reference/information services; debt collection/administration; and goods-hire contracts.

0.1.1.2 The Prudential Regulation Authority

The PRA is a legal entity within the BoE and is the prudential regulator for banks, insurers and larger/complex investment firms. Its core objective is to ensure the **safety and soundness** of the firms it regulates – covering capital, liquidity and leverage resilience, and orderly resolution on failure. The PRA takes a **judgment-led approach**: every firm receives a baseline level of supervision, with additional supervision focused on systemic risk. The PRA's supervisors coordinate closely with the FCA and FPC, and with overseas authorities for complex multinational firms.

0.1.1.3 The Financial Policy Committee

A key failing of the pre-2008 regulatory framework was that no single body monitored the stability of the whole financial system. The FPC (within the BoE) fills this gap, monitoring the system as a whole, identifying systemic risks, and making recommendations to the PRA and FCA (with formal powers of direction where granted by HM Treasury via a specific macroprudential tool).

DEFINITION: FPC COMPOSITION: The FPC comprises the BoE Governor (chair), three deputy governors, two BoE executive directors, the FCA chief executive, four external members and a non-voting HM Treasury representative. It meets at least quarterly and publishes two financial stability reports a year plus meeting records.

0.1.2 Dual-Regulated Firms

Although the FCA and PRA have separate authorisation functions, they share a single administrative process for **dual-regulated firms**, which apply to the PRA (unless directed otherwise). Applications follow one of two processes:

1. **Consent** – for authorisation, voluntary variation of permission, or approved persons: the FCA can give or refuse consent to the PRA. If the FCA refuses consent, the PRA must refuse the application.
2. **Consult** – for a change in control, a materially important waiver, transfer of insurance business, or cancellation of permission: the PRA must consult the FCA but is not bound by its response.

Both regulators maintain their own **threshold conditions**; dual-regulated firms must meet both sets. Before taking enforcement action against a dual-regulated firm, the FCA consults the PRA; the two regulators decide whether to pursue a joint or separately-coordinated investigation.

0.1.3 The Financial Services and Markets Act 2000 (as Amended)

FSMA 2000 provides the main framework for regulating investment business in the UK, substantially modified by the Financial Services Act 2012 and FSMA 2023. Anyone undertaking investment business in the UK must be an **authorised person** or an **exempt person**.

Three factors determine whether investment business requires authorisation:

1. Whether the investments fall within the scope of regulation.
2. Whether the activity carried out in relation to those investments is a regulated activity.
3. Whether an exemption is available.

CAVEAT / EXCEPTION: CRIMINAL OFFENCES UNDER FSMA: It is a criminal offence to: describe oneself as authorised/exempt when not; mislead a market or investors via a dishonest or misleading statement; or knowingly/recklessly create a false impression for personal gain or to cause loss (or expose to risk of loss) to another. A related offence under **section 91** (introduced by the Financial Services Act 2012) covers misleading statements/impressions relating to **benchmarks**. Penalty: up to **ten years' imprisonment**, a fine, or both.

0.1.4 Regulated Activities Order 2001 (as Amended)

Regulated investments and activities are defined in the **Regulated Activities Order 2001 (RAO)**.

DEFINITION: SPECIFIED INVESTMENTS: Broadly, all investment instruments and rights to those instruments – excluding physical assets such as land, antiques and commodities. Provision of credit and regulated mortgages (extended in 2016 to non-residential lending, e.g. buy-to-let) are also specified investments. Structured deposits and emission allowances were added in 2018.

Examples of **regulated activities** requiring authorisation/exemption: accepting deposits; issuing electronic money; effecting/carrying out contracts of insurance as principal; dealing in, arranging deals in, or managing investments; arranging a mortgage or other home finance transaction; operating an MTF; and operating an OTF.

0.1.5 Other Regulatory Bodies

0.1.5.1 The Payment Systems Regulator

The **Payment Systems Regulator (PSR)**, established April 2015 as an FCA subsidiary, regulates payment systems designated by HM Treasury (BACS, C&C, CHAPS, Faster Payments, LINK, MasterCard, Visa Europe, Sterling Finality). Systems embedded in securities trading/clearing/CCP infrastructure, and the BoE in its payments-provider role, are excluded. In March 2025 the UK Government announced a proposal to abolish the PSR and consolidate its functions into the FCA (subject to consultation). The PSR's statutory objectives are to: consider and promote the interests of businesses and consumers using payment systems; promote effective competition; and promote development and innovation, particularly in system infrastructure.

0.1.5.2 The Competition and Markets Authority

Established under the **Enterprise and Regulatory Reform Act 2013**, the CMA is the UK's independent competition authority for merger control. The **Digital Markets, Competition and Consumers Act 2024** introduced a new merger test:

KEY RULE: CMA MERGER TESTS: The CMA will investigate a merger where it meets the existing **turnover test** or **share of supply test**, or the new **acquirer test**:

- **Turnover test:** target company UK turnover $\geq$ £100m.
 - **Share of supply test:** merging parties together supply $\geq$ 25% of goods/services in the UK (or a substantial part).
 - **Acquirer test (new):** acquirer already has $\geq$ 33% share of supply in the UK (or substantial part) *and* UK turnover $\geq$ £350m – with no requirement for any increment in share of supply.
- The CMA has up to **40 working days** for a phase one study. If it believes the merger would cause a ‘substantial lessening of competition,’ it typically proceeds to a phase two investigation, after which it may prohibit the merger or impose remedies.

0.1.5.3 The Information Commissioner’s Office

The **ICO** oversees the Data Protection Act, GDPR, Freedom of Information Act, Environmental Information Regulations, and Privacy and Electronic Communications Regulations.

DEFINITION: GDPR: In force since May 2018, the **General Data Protection Regulation (GDPR)** protects individuals’ privacy rights and is supplemented in the UK by the **Data Protection Act 2018**. A **controller** determines the purposes and means of processing personal data; a **processor** processes data on the controller’s behalf.

The GDPR’s **seven principles** require that personal data be:

1. Processed lawfully, fairly and transparently.
2. Collected for specified, explicit, legitimate purposes.
3. Adequate, relevant and limited to what is necessary.
4. Accurate and kept up to date.
5. Kept identifiable for no longer than necessary.
6. Processed securely.
7. Handled by those who are accountable, and can demonstrate compliance.

Key GDPR features: consent must be specific and affirmative (pre-ticked boxes/silence no longer suffice) and withdrawable at any time; enhanced fair-processing notices; enhanced data subject rights (portability, erasure, subject access – firms must respond within **one month**, generally free of charge); breach notification to the ICO within **72 hours**; export restrictions outside the EEA absent an adequacy decision or valid export mechanism. **Fines:** up to the greater of €20m or 4% of global annual turnover (important provisions), or €10m/2% (other provisions). The UK is a ‘third country’ under EU GDPR; an EU adequacy decision (time-limited, renewable, next review December 2025) currently sustains free data flow.

0.1.6 The Takeover Panel

The **Takeover Panel** operates and enforces the **City Code on Takeovers and Mergers** (‘the City Code’). It is financed by a levy on share transactions (currently **150p per contract** where consideration exceeds £10,000) plus fees (e.g. for offer documents). The levy applies to trades in equity share capital, convertibles, subscription rights (warrants, provisional allotment letters, nil-paid rights) and related depositary receipts – but *not* to covered warrants, debentures/debt securities, preference shares, PIBS, CFDs/total return swaps, spread bets, or options.

DEFINITION: ROLE OF THE PANEL: The Panel acts as **referee** of takeover-bid conduct, ensuring shareholders are treated fairly – it does not address competition policy. It has a statutory basis under the **Companies Act 2006**, giving the City Code statutory force.

Key City Code provisions and the bid timetable:

- A bidder acquiring **30% or more** of voting rights must make a cash offer to all other shareholders at the highest price paid in the previous year.
- The offer document must normally be sent within **28 days** of the announcement of intention to bid.
- A potential offeror is subject to a **28-day ‘put up or shut up’** deadline (extendable by Panel consent).
- An offer must remain open for a minimum of **21 days** after posting.
- Target directors must normally advise shareholders of their views within **14 days** of the offer document.
- If the bidder’s stake reaches **50%**, the offer must be kept open for remaining shareholders.
- At **90% or more**, the predator can compulsorily acquire (‘squeeze out’) the remaining minority.

0.1.7 Regulation of Pension Funds

The **Pensions Act 2004** created **The Pensions Regulator (TPR)**, whose objectives include: protecting members’ benefits; reducing PPF compensation calls; and promoting good scheme administration. It also introduced the **Pension Protection Fund (PPF)**, which compensates members where a sponsoring DB-scheme employer becomes insolvent and the scheme cannot meet liabilities – covering up to **100%** of benefits for existing pensioners and up to **90%** for those not yet retired, funded via a levy on all DB schemes.

Scheme funding requirements for DB trustees: prepare a statement of funding principles (reviewed every **three years**); obtain periodic actuarial valuations/reports; prepare a schedule of contributions; and implement a recovery plan if the statutory funding objective is unmet.

KEY RULE: PENSION SCHEMES ACT 2021: Introduced enhanced TPR enforcement powers (new criminal offences; civil penalties up to £1m), additional DB funding requirements, transfer-right changes, and a climate-risk governance framework. Trustees must: identify/assess climate risks and opportunities; undertake triennial scenario analysis; select emissions-based metrics and set targets; and publish an annual signed report. Penalties for non-compliance: up to £5,000 (individual trustee) / £50,000 (corporate trustee). Applicable from **1 October 2021** (schemes ≥£5bn, master trusts, CMP schemes) and **1 October 2022** (schemes £1bn–£5bn).

The UK Government has established **MoneyHelper** (pension/financial advice for consumers) and the **Pensions Ombudsman Service** (complaints about pension administration).

0.1.8 FCA-Recognised Industry Codes

Individuals subject to the **SM&CR** must comply with the six **Individual Conduct Rules** in COCON 2.1, including Rule 5 (‘observe proper standards of market conduct’), applying to *all* activities, regulated or not. For unregulated markets and activities, the FCA operates an ‘**FCA recognition**’ process for industry codes. Recognised codes to date:

- **FX Global Code** – Global Foreign Exchange Committee; good-practice standards for the whole-sale FX market.
- **UK Money Markets Code** – Money Markets Committee; standards for deposit, repo and securities lending markets.
- **Standards of Lending Practice for business customers** – Lending Standards Board; benchmark for lending to business customers across the product life cycle.
- **Global Precious Metals Code** – London Bullion Market Association (LBMA); standards for

the OTC wholesale precious metals market.

SECTION 3.1 – KEY FACTS

1. Three regulators: FCA (conduct, plus prudential for smaller firms), PRA (prudential – banks, insurers, systemic investment firms), FPC (macro-prudential/systemic).
2. FCA's three operational objectives: consumer protection, market integrity, competition; secondary objective: UK competitiveness and growth.
3. CMA investigates mergers where UK target turnover >£100m, or ≥25% UK market share results, or (new) the acquirer test is met.
4. Takeover Panel enforces the City Code; 30% triggers a mandatory cash offer; 90% permits compulsory squeeze-out.
5. ICO regulates GDPR compliance; breach notification to ICO within 72 hours; fines up to greater of €20m/4% global turnover.
6. Anyone conducting UK investment business must be authorised or exempt (FSMA 2000, as amended); RAO 2001 defines specified investments and regulated activities.
7. Pensions Act 2004 created TPR and the PPF; Pension Schemes Act 2021 added climate governance duties and stronger TPR powers.

0.2 Assimilated EU Law and Other International Regulations Relating to UK Financial Services

0.2.1 UK and EU Financial Services Relationship

The EU's **Financial Services Action Plan (FSAP)**, launched in 1999, sought to: (1) create a single EU wholesale market; (2) achieve open and secure retail markets; and (3) create state-of-the-art prudential rules and supervisory structures. Harmonisation proceeded mainly through **Directives** (issued under Article 58 of the European Treaty, requiring Member States to amend national law) and **Regulations** (directly binding, with immediate legal force, without national implementing measures).

DEFINITION: DIRECT EFFECT: Where a Directive is not properly implemented, it may have **vertical-direct effect** (taking precedence over national law as between a Member State and an individual/company) but *not* **horizontal-direct effect** (as between two private parties).

Brexit timeline: UK voted to leave the EU (2016 referendum); Article 50 triggered 29 March 2017; UK left the EU 31 January 2020 (11-month transition period, still bound by EU rules); transition ended 31 December 2020 – the UK became a 'third country'. The **European Union (Withdrawal) Act 2018**, as amended by the **EU (Withdrawal Agreement) Act 2020 (EUWA)**, converted directly-applicable EU law into '**retained EU law**' ('onshoring'), subsequently amended by secondary legislation to operate effectively domestically.

0.2.2 Retained EU Law, the FSMA 2023 and the REUL Act

Under the **Retained EU Law (Revocation and Reform) Act 2023 (REUL Act)**, retained EU law not revoked by end-2023 became '**assimilated law**' from **1 January 2024** – no longer interpreted using EU principles, and national legislation can no longer be disapplied for inconsistency with EU law.

The **FSMA 2023** implements the government's Future Regulatory Framework Review, moving the UK toward a comprehensive '**FSMA model**': FSMA 2023 sets the statutory framework, while detailed rule-making responsibility rests with the FCA, PRA and BoE. Section 1 of FSMA 2023

revokes a long list of retained EU financial-services law (e.g. the Prospectus Regulation, Market Abuse Regulation, Capital Requirements Regulation, MiFIR) – although law already incorporated into FCA/PRA rulebooks is not revoked but updated via the regulators’ normal FSMA 2000 processes. This is a multi-year, staged process.

0.2.3 UK MiFID Framework

MiFID was implemented in November 2007, allowing an EU firm to ‘passport’ services (branch or cross-border) using home-state authorisation. **MiFID II** (with the associated **Markets in Financial Instruments Regulation, MiFIR**) was implemented in January 2018, recasting and repealing MiFID. Key MiFID II changes:

- A new trading venue, the **Organised Trading Facility (OTF)**, alongside RMs and MTFs.
- Strengthened pre-/post-trade transparency requirements.
- Position limits on commodity derivatives to curb speculation.
- Rules addressing risks from high-frequency/algorithmic trading.
- Enhanced investor protection (information disclosure; remuneration not conflicting with client interests).

DEFINITION: INVESTMENT SERVICES VS. ANCILLARY SERVICES: A firm performing **investment services and activities** is subject to MiFID for both those and any ancillary services (and may use the MiFID passport). A firm performing *only ancillary services* is not subject to MiFID and cannot use the passport.

MiFID II investment services/activities include: reception/transmission of orders; execution of orders on clients’ behalf; dealing on own account; portfolio management; investment advice; underwriting/placing (firm and non-firm commitment); operating an MTF; operating an OTF. **Ancillary services** include: safekeeping/administration of instruments; granting credit/loans to facilitate a transaction; corporate finance advice (capital structure, M&A); FX services connected to investment services; investment research/financial analysis; underwriting-related services; and services relating to derivative underlyings.

Financial instruments covered span transferable securities, money-market instruments, collective investment units, and a broad range of derivatives (on securities, currencies, interest rates, commodities, credit, emissions and other underlyings), differentiated by settlement method (cash vs. physical) and trading venue.

Since Brexit, MiFID II/MiFIR were onshored; the UK’s **Smarter Regulatory Framework (SRF)** has begun transferring firm-facing rules from the assimilated MiFID Org Reg into FCA/PRA rulebooks for greater flexibility. UK firms can **no longer** use the MiFID passport to access EU clients/markets – EU Member States generally require a local branch for UK third-country firms serving retail and certain professional clients.

0.2.4 UK Regime for UCITS

UK UCITS are FCA-regulated collective investment schemes in transferable securities. Post-Brexit, they are no longer recognised as ‘UCITS’ under the EU Directive (they are treated as a third-country **Alternative Investment Fund (AIF)** in the EU) and cannot use the UCITS marketing passport into the EEA, though they remain freely marketable to UK retail investors. UK UCITS may invest only in specified transferable securities, approved money-market instruments, units in certain other regulated funds, derivatives/forwards, and deposits, subject to **spread and concentration rules**. From **30 September 2024**, EEA UCITS (other than money-market funds) can access the UK’s **Overseas Funds Regime (OFR)**, streamlining FCA recognition for UK retail marketing.

0.2.5 Alternative Investment Fund Managers Directive (UK AIFMD)

The EU **AIFMD** (2013) regulates the management, administration and marketing of **Alternative Investment Funds (AIFs)** – collective investment undertakings outside UCITS (hedge funds, private equity, retail investment funds, investment companies, real estate funds). It focuses on regulating **AIF managers**, not the AIFs themselves. Onshored as **UK AIFMD**; UK AIFMs cannot use the EU marketing passport (HMT is consulting on reform under FSMA 2023).

KEY RULE: AIFM AUTHORISATION THRESHOLDS: FCA authorisation is required where AUM in AIFs exceeds: **€100m** (if any AIF uses leverage); or **€500m** (unleveraged AIFs with no investor redemption right within five years). Below these, a firm is ‘**sub-threshold**’:

- **Small authorised UK AIFM** – FCA-authorised, not opted in to AIFMD (most small private fund managers).
- **Small registered UK AIFM** – internal AIFM of a corporate body (e.g. investment trust); unauthorised manager of property funds operated by an authorised operator; or a manager registered under the EuVECA/EuSEF Regulations.

Sub-threshold AIFMs generally follow SYSC/COBS rules and cannot use the EU marketing passport.

Other AIFMD requirements: capital, organisational/governance rules, and investor disclosure; AIFs must be identified via prescribed codes; AIFMs must select only regulated, financially sound, appropriately-structured brokers/counterparties; AIFMs submit quarterly/semi-annual/annual reports to the FCA plus an annual report (financial statements, activities, staff remuneration); AIFMs must disclose the extent of leverage employed and demonstrate it is limited to a reasonable amount.

0.2.6 UK European Market Infrastructure Regulation (UK EMIR)

EMIR (in force 16 August 2012) covers **OTC derivatives, CCPs and trade repositories**, requiring counterparties to report and risk-manage derivative positions. In the UK, HM Treasury implemented EMIR via secondary legislation under FSMA 2000; risk-mitigation rules from 1 April 2013, trade-repository reporting from February 2014. **EMIR Refit** (from 17 June 2019, implemented via the Financial Services Act 2021) refined the definition of financial counterparties and introduced ‘**small financial counterparties**’, exempt from mandatory CCP clearing.

KEY RULE: THREE EMIR OBLIGATIONS:

1. Clear OTC derivatives subject to the clearing obligation through a CCP.
2. Apply risk-management procedures for uncleared OTC derivatives.
3. Report derivative transactions to a trade repository.

Onshored as **UK EMIR**; largely equivalent to EU EMIR, with UK-specific trade repositories (ICE Trade Vault Europe, LSEG regulatory reporting, DTCC Derivatives Repository, REGIS-TR UK) for transactions from 1 January 2021. The FCA registers and supervises trade repositories.

0.2.7 UK Benchmarks Regulation (UK BMR)

The EU **Benchmarks Regulation (BMR)** (in force January 2018) responded to the **LIBOR** and **EURIBOR** manipulation scandals, seeking robust, reliable benchmarks and minimised conflicts of interest. Onshored as **UK BMR**, currently substantially the same as EU BMR.

DEFINITION: BENCHMARK: Any index by reference to which an amount payable, or the value of a financial instrument, is determined, or which measures fund performance – based on a

formula/calculation or an assessment of underlying asset/price values. A single price/reference value with no calculation, input data or discretion is *not* a benchmark. Central bank/public-authority benchmarks for public policy purposes (e.g. CPI) are exempt.

Three defined roles: **administrator** (controls provision of a benchmark), **supervised contributor** (contributes input data), and **user** (e.g. issues an instrument referencing an index, or measures fund performance via an index). BMR classifies benchmarks into types including: **critical** (contracts $\geq \text{€}500\text{bn}$, or UK-recognised as critical), **significant** ($\geq \text{€}50\text{bn}$, or systemic impact if discontinued), **commodity**, **regulated data**, **interest rate** (e.g. SONIA), **non-significant** ($< \text{€}50\text{bn}$), and **UK Paris-aligned**. Administrators require prior authorisation/registration and are placed on a public register; users of eligible benchmarks must maintain robust written contingency plans for benchmark cessation/material change.

0.2.8 US FATCA and OECD Common Reporting Standard

FATCA is a US law combating offshore tax evasion by US persons, imposing a **30% withholding tax** on US-source income paid to non-participating **Foreign Financial Institutions (FFIs)**. Under a 2012 UK-US intergovernmental agreement, UK institutions report to **HMRC**, which relays data to the IRS. FFIs entering an agreement with the IRS become ‘**participating FFIs**’; otherwise they are ‘**non-participating**’ and subject to withholding. Reportable accounts are those held by **specified US persons** or non-US entities with **US controlling persons**.

The **Common Reporting Standard (CRS)**, developed by the **OECD** in 2014 (based on FATCA), is a global automatic tax-information exchange standard adopted by over 100 countries, requiring overseas institutions to report UK-resident account holders’ data to HMRC (name, address, DOB, account details, balances, interest, sale proceeds).

SECTION 3.2 – KEY FACTS

1. EU Directives require national implementation (vertical, not horizontal, direct effect); Regulations are directly binding.
2. Post-Brexit: retained EU law → ‘assimilated law’ from 1 January 2024 under the REUL Act; FSMA 2023 sets a domestic ‘FSMA model’ with rule-making delegated to the FCA/PRA/BoE.
3. MiFID II/MiFIR (Jan 2018) introduced OTFs, extended transparency, and enhanced investor protection; onshored as UK MiFID; UK firms have lost EU passporting rights.
4. UK UCITS lost EU UCITS status post-Brexit (treated as third-country AIFs); OFR (from Sept 2024) streamlines EEA UCITS access to UK retail market.
5. UK AIFMD authorisation thresholds: $\text{€}100\text{m}$ (leveraged) / $\text{€}500\text{m}$ (unleveraged, no early redemption).
6. UK EMIR: three obligations – clear via CCP, risk-mitigate uncleared trades, report to a trade repository.
7. UK BMR addresses LIBOR/EURIBOR-style manipulation risk; benchmarks are classified by systemic significance.
8. FATCA (US) and CRS (OECD, 100+ countries) both require automatic exchange of account-holder tax information via HMRC.

0.3 The Financial Conduct Authority: Objectives and High-Level Standards

0.3.1 The Role and Statutory Objectives of the FCA

The FCA regulates conduct in retail and wholesale markets, and is prudential regulator for firms not regulated by the PRA. Its **strategic objective** is to ensure relevant markets function well, supported by three **operational objectives** (consumer protection, market integrity, competition) and a **secondary objective** (UK competitiveness and growth) – see Section 3.1.

0.3.2 The FCA Handbook

The Handbook is organised into numbered **blocks**.

DEFINITION: BLOCK 1 – HIGH-LEVEL STANDARDS:

- **PRIN** – Principles for Businesses: the twelve fundamental obligations of all FCA-regulated firms.
- **SYSC** – Senior Management Arrangements, Systems and Controls: director/senior-management responsibility for firm-wide control, supervision and accountability.
- **COCON** – Code of Conduct: conduct rules for SM&CR staff.
- **COND** – Threshold Conditions: minimum statutory conditions for authorisation and its retention.
- **APER** – Statements of Principle and Code of Practice for Approved Persons.
- **FIT** – Fit and Proper Test: minimum standards for senior management/certification functions.
- **TC** – Training and Competence: staff competence and record-keeping.

Block 2 – Prudential Requirements (not relevant to the IMC syllabus).

DEFINITION: BLOCK 3 – BUSINESS STANDARDS:

- **COBS** – Conduct of Business Sourcebook: conduct requirements for designated investment business.
- **MAR 1 & 2** – Market Conduct: market abuse (MAR 1) and post-issue price stabilisation (MAR 2).
- **CASS** – Client Assets: segregation/safe custody of client assets and money, statutory trusts, insolvency information.
- **PROD** – Product Intervention and Product Governance Sourcebook.
- **ESG** sourcebook – rules/guidance on a firm’s approach to ESG matters.

Block 4 – Regulatory Processes: **SUP** (Supervision – supervisory relationship, reporting requirements) and **DEPP** (Decision Procedure and Penalties Manual – statutory notices, penalty policy, interviews).

Block 5 – Redress: **DISP** (firms’ internal complaints handling and the FOS) and **COMP** (FSCS eligibility, funding and operation).

Block 6 – Specialist Sourcebooks: **COLL** (authorisation, constitution and management of ICVCs and AUTs).

Block 7 – Listing, Prospectus and Disclosure: requirements for issuers on the Official List (UKLA), Transitional Provisions (sponsors), Prospectus Rules (PR), and Disclosure Guidance and Transparency Rules (DTR).

Other FCA guides: **EG** (Enforcement Guide); **PERG** (Perimeter Guidance Manual – when authorisation/exemption applies); **Financial Crime Guide** (good practice on AML, fraud, bribery, corruption).

0.3.3 Principles for Businesses

PRIN expresses the fundamental obligations of firms and underpins threshold condition five (Suitability) – being ready, willing and organised to abide by the Principles is a critical factor in Part 4A applications. Breaching a Principle may call a firm’s fitness and propriety into question.

KEY RULE: THE TWELVE PRINCIPLES:

1. **Integrity** – conduct business with integrity.
2. **Skill, care and diligence** – conduct business with due skill, care and diligence.
3. **Management and control** – organise and control affairs responsibly, with adequate risk management systems.
4. **Financial prudence** – maintain adequate financial resources.
5. **Market conduct** – observe proper standards of market conduct.
6. **Customers’ interests** – pay due regard to customers’ interests and treat them fairly.
7. **Communications with clients** – ensure information is clear, fair and not misleading.
8. **Conflicts of interest** – manage conflicts fairly, between the firm and customers and between customers.
9. **Customers: relationships of trust** – ensure suitability of advice/discretionary decisions.
10. **Clients’ assets** – arrange adequate protection when responsible for client assets.
11. **Relations with regulators** – deal openly and cooperatively; disclose matters the regulator would reasonably expect notice of.
12. **Consumer Duty** – act to deliver good outcomes for retail customers.

DEFINITION: PRINCIPLE 12 – THE CONSUMER DUTY: Added to PRIN with effect from **31 July 2023** for existing products/services, applying to *all* firms with material influence over customer outcomes, not only those with a direct customer relationship. Four outcomes:

1. **Products and services** – fit for purpose for the identified target market (interacts with PROD).
2. **Price and value** – a fair, reasonable relationship between price and benefit.
3. **Consumer understanding** – enabling informed decisions via understandable information.
4. **Consumer support** – support meeting consumers’ needs throughout the relationship.

CAVEAT / EXCEPTION: Breach of a Principle does not, of itself, give a private person a right of court action against a firm – but it is taken into account by the FCA for disciplinary/intervention purposes, and can found an application for an injunction or restitution order. The onus is on the FCA to demonstrate fault (the nature of ‘fault’ varies by Principle, e.g. lack of integrity under Principle 1; failure of due skill/care/diligence under Principle 2).

0.3.4 Senior Management Arrangements, Systems and Controls (SYSC)

SYSC purposes: encourage directors/senior managers to take practical responsibility for arrangements of FCA interest; amplify Principle 3; encourage vesting of responsibility in specific individuals; and create a **common platform** of organisational requirements (SYSC 4–10) applying to all firms except insurers, managing agents and the Society of Lloyd’s.

DEFINITION: SYSC CHAPTER SUMMARY:

- **SYSC 4** – General organisational requirements: governance, internal controls, accounting, business continuity; minimum two persons must manage a firm (experienced, good reputation);

senior management responsible for regulatory compliance.

- **SYSC 5** – Employees/agents: skills, knowledge, expertise, segregation of duties, procedural awareness.
- **SYSC 6** – Compliance, internal audit and financial crime: firm must appoint a **compliance officer** (reporting to the governing body) and maintain effective, proportionate AML systems/controls, following **JMLSG** guidance (Section 3.7).
- **SYSC 7** – Risk control: risk management policies/procedures; tolerable risk levels; documented risk-assessment function.
- **SYSC 8** – Outsourcing: firms outsourcing critical functions retain regulatory responsibility; senior managers cannot delegate their own responsibilities.
- **SYSC 9** – Record-keeping: orderly business/organisational records for at least **five years** for MiFID business.
- **SYSC 10** – Conflicts of interest (see below).
- **SYSC 11–17** – Prudential/risk-management requirements for banks and insurers (liquidity, operational, group, credit, market, insurance risk).
- **SYSC 18** – Whistleblowing (see below).
- **SYSC 19** – Remuneration codes (see below).

0.3.4.1 Conflicts of Interest (SYSC 10)

Operationalises Principle 8: a firm must **identify** conflicts of interest and **maintain effective arrangements** to prevent them causing a material risk of damage to clients.

CAVEAT / EXCEPTION: Disclosure is a measure of last resort – not, in itself, a form of managing a conflict. Firms should prevent/manage conflicts *before* resorting to disclosure. Example conflicts: passing business to an insurer where the intermediary previously worked/has friends there; passing mortgage business to a lender employing a relative; a provider offering a loan plus cash gift in expectation of future business (an inducement/bribe).

A common platform firm must maintain a written **conflicts of interest policy** covering: the firm's specific services/activities; circumstances giving rise to a material conflict risk; and the specific procedures/measures to manage such conflicts.

0.3.4.2 Whistleblowing (SYSC 18)

The **Public Interest Disclosure Act 1998 (PIDA)** protects whistleblowing employees; the FCA is a 'prescribed person' for PIDA disclosures. Following the 2013 Parliamentary Commission on Banking Standards, the FCA/PRA introduced formal whistleblowing rules applying to deposit-takers with assets >£250m, PRA-designated investment firms and insurers. Firms should: maintain written whistleblowing procedures; respect confidentiality; escalate reports appropriately (including to regulators/law enforcement); track outcomes; protect against victimisation; ensure new employment/settlement contracts do not prevent protected disclosures; and appoint a senior '**whistleblowers' champion**' (a non-executive director) responsible for policy oversight, an annual board report, and reporting where an employment tribunal finds in favour of a whistleblower.

0.3.4.3 Remuneration Codes (SYSC 19)

Inappropriate remuneration was identified as a key contributor to the 2008 crisis. Codes apply to c. 2,750 firms (banks, building societies, large AIFMs, CAD investment firms), covering '**code staff**' (senior management, risk-takers, control-function staff).

KEY RULE: MAIN REMUNERATION CODE PROVISIONS:

- At least **40%** of a bonus deferred over ≥ 3 years (at least **60%** for the most senior management, or where a bonus exceeds £500,000).
- At least **50%** of any bonus paid in shares/equivalent instruments, subject to retention.
- Guaranteed bonuses of more than one year are prohibited (exceptionally, permitted for new hires in year one).
- Remuneration policy must be consistent with, and promote, sound risk management; reviewed periodically by senior management; disclosed at least annually.

MiFID II introduced **SYSC 19F**: firms providing investment services must not remunerate/assess staff performance in a way that conflicts with acting in clients' best interests (e.g. no incentives to recommend a particular instrument to a retail client over a more suitable alternative), and are effectively banned from sales-linked remuneration for such staff.

0.3.5 Applying for Permission to Carry On Regulated Activities

A person carrying on a regulated activity must be authorised unless exempt (e.g. appointed representatives; professionals such as solicitors/accountants where the activity is incidental to their main business). A UK investment firm applies to the FCA for **Part 4A permission**, specifying the activities/investments sought; the FCA may attach **limitations** (specific to an activity, e.g. client types) or **requirements** (not activity-specific, e.g. more frequent financial returns). Permission is granted once; additional activities require a variation of permission.

DEFINITION: THRESHOLD CONDITIONS (COND): Minimum standards for gaining and retaining authorisation, redistributed between the FCA and PRA by the **FSMA (Threshold Conditions) Order 2013**. FCA conditions apply to all firms (including dual-regulated); PRA conditions apply only to banks, insurers and PRA-authorised investment firms.

Table 1: Threshold Conditions (Table 3.1)

Condition	Description	FCA Firms	Dual-Regulated
Legal status	For insurance activity: must be incorporated (not an LLP), a registered friendly society, or a Lloyd's member.	Applies	PRA
Location of offices	Head office and registered office in the UK (or, if not a body corporate, business carried on in the UK).	–	Applies – PRA
Effective supervision	No impediment to effective supervision from the nature/complexity of activities, products or organisation.	Applies	Applies
Appropriate resources	FCA-authorised firms hold resources appropriate to activities undertaken.	Applies	Does not apply
Appropriate non-financial resources	–	Does not apply	FCA

Condition	Description	FCA Firms	Dual-Regulated
Suitability	Nature/scale of business, continuity risk, management skills/experience, non-financial resources; conduct with regard to consumer interests, system integrity and minimising financial-crime risk; cooperative with the FCA/PRA; management probity.	Applies	Applies
Business model	The firm's strategy must be suitable for its regulated activities.	Applies	Applies
Business conducted prudently	Appropriate financial and non-financial resources.	Does not apply	PRA
Appointment of claims representative	Relates to insurance companies.	Does not apply	Applies

A dual-regulated firm applies to the PRA (with FCA consent required) to vary/cancel Part 4A permission; an FCA-only firm applies to the FCA, except where varying to include a PRA-regulated activity (then it applies to the PRA).

DEFINITION: EXEMPT PERSONS: Categories not requiring authorisation include: appointed representatives of an authorised person; RIEs and RCHs; members of a designated professional body (e.g. solicitors, accountants) carrying on regulated activity incidental to their normal profession (authorisation is required if the activity is a distinct, separate business); and members of Lloyd's.

0.3.6 Senior Managers and Certification Regime (SM&CR)

Implemented by the **Financial Services (Banking Reform) Act 2013**, the SM&CR replaced the Approved Persons Regime – for banks, building societies, credit unions and PRA-designated investment firms from March 2016, and extended to all solo FCA-regulated firms from **December 2019**. It comprises:

1. **Senior Managers Regime (SMR)** – regulatory-approved individuals, with allocated responsibilities and regular fitness/propriety vetting.
2. **Certification Regime** – firms assess fitness/propriety of employees who could pose a risk of significant harm.
3. **Conduct Rules** – apply to almost all staff (except purely ancillary roles, e.g. security, catering, cleaning).

DEFINITION: THREE TYPES OF RESPONSIBILITY UNDER THE SMR:

- **Senior Management Functions (SMFs)** – e.g. Chairman, CFO – require individual regulatory approval.
- **Prescribed responsibilities** – important functions each allocated to an existing SMF 'most closely associated' with it (excluding the significant-responsibility SMF).
- **Key functions** – allocated to a 'significant responsibility SMF' (for non-board members in charge of particular business areas/risks).

Table 2: Illustrative SMFs

PRA SMFs	FCA SMFs
Chief Executive, Chief Finance, Chief Risk, Head of Internal Audit, Head of key business area, Group Entity Senior Manager (executive)	Executive Director, Significant Responsibility Senior Manager, Money Laundering Reporting Officer, Compliance Oversight (executive)
Chairman, Chair of Risk/Audit/Remuneration Committee, Senior Independent Director (non-executive)	Non-Executive Director, Chair of the Nominations Committee (non-executive)

Senior managers require regulatory approval before performing an SMF (which regulator depends on whether it is an FCA or PRA SMF), and separate approval for each SMF performed. Applications require a **statement of responsibility**, a **responsibilities map**, and supporting information (CVs, job descriptions, organisational charts).

CAVEAT / EXCEPTION: DUTY OF RESPONSIBILITY: Senior managers are subject to a **statutory duty of responsibility**: if a firm breaches a requirement, the responsible senior manager can be held individually accountable, unless they can show they took reasonable steps to prevent the breach. Enforcement may arise from: (1) an individual conduct-rule breach; (2) being ‘knowingly concerned’ in the firm’s contravention; or (3) a contravention within the manager’s area of responsibility. Senior managers are also liable to prosecution for the criminal offence of taking (or failing to prevent) a decision causing institutional failure, where aware of the risk and conduct fell ‘far below what could reasonably be expected’.

0.3.6.1 Certification Regime

Applies to individuals performing **Certification Functions** that could significantly impact the firm or its customers, but are not SMFs. Firms (not the FCA) must certify such employees as fit and proper, **at least annually** – a key shift of responsibility from the FCA (under APER) to the firm itself. FCA Certification Functions include: CASS oversight; proprietary trader; significant management; functions requiring qualifications; management of a certified person; material risk takers; client dealing; and algorithmic trading. An employee performing multiple certification functions must be assessed for each (a single certificate may cover several).

0.3.6.2 Conduct Rules

Think of the SM&CR as a pyramid: SMR at the top, Certification Regime in the middle, Conduct Rules as the base – applicable to virtually all staff, in both regulated and unregulated activity.

KEY RULE: INDIVIDUAL CONDUCT RULES (TIER 1 – ALL STAFF):

1. You must act with integrity.
2. You must act with due care, skill and diligence.
3. You must be open and co-operative with the FCA, PRA and other regulators.
4. You must pay due regard to customers’ interests and treat them fairly.
5. You must observe proper standards of market conduct.
6. You must act to deliver good outcomes for retail customers where consumer duty applies.

KEY RULE: SENIOR MANAGER CONDUCT RULES (TIER 2):

- **SC1** – Take reasonable steps to ensure the business for which you are responsible is controlled effectively.
- **SC2** – Take reasonable steps to ensure compliance with relevant regulatory requirements/standards.
- **SC3** – Take reasonable steps to ensure delegation is to an appropriate person, with effective oversight.
- **SC4** – Disclose appropriately anything the FCA/PRA would reasonably expect notice of (also applies to all executive and non-executive directors).

Firms must train all staff on the rules that apply to them and maintain training records.

0.3.7 Training and Competence (TC)

All staff in an authorised investment firm must be competent; for staff undertaking specified retail-facing activities, firms must ensure the employee is **assessed as competent** and **supervised** (with greater supervisory intensity before competence is confirmed). Where a supervised employee advises retail customers on packaged products, the supervisor must have passed an appropriate exam and the employee must have adequate knowledge/skill. **Appropriate qualifications** are mandatory (even under supervision) for: advising on investments; dealing with/for clients in securities/derivatives; broker fund adviser activity; advising on Lloyd's syndicate participation; and pension transfer specialism. Firms must regularly review employees' **maintenance of competence**, considering technical knowledge, skills/expertise, and market/product/legislative/regulatory change.

0.3.8 Professionalism Requirements for Retail Investment Advisers

The **Retail Distribution Review (RDR)** (from 2013) requires retail investment advisers to:

- subscribe to a code of ethics;
- hold an appropriate qualification (including qualification gap-fill);
- complete at least **35 hours** of **Continuing Professional Development (CPD)** annually (of which **21 hours** must be structured); and
- hold a **Statement of Professional Standing (SPS)** from an accredited body.

Firms must report data on advisers to the FCA (e.g. three complaints against an adviser within twelve months). **Accredited bodies** verify code-of-ethics compliance, qualification/gap-fill (100% verification), and conduct a random **10% CPD sample check**. Advisers not meeting these standards cannot make personal recommendations to retail clients.

SECTION 3.3 – KEY FACTS

1. The FCA Handbook is organised into blocks: High-Level Standards (PRIN, SYSC, COCON, COND, APER, FIT, TC), Prudential Requirements, Business Standards (COBS, MAR, CASS, PROD, ESG), Regulatory Processes (SUP, DEPP), Redress (DISP, COMP), Specialist Sourcebooks (COLL), and Listing/Prospectus/Disclosure.
2. PRIN sets out twelve Principles, culminating in Principle 12 (Consumer Duty, effective 31 July 2023) with four outcomes: products & services, price & value, consumer understanding, consumer support.
3. Breach of a Principle does not itself give rise to a private right of action but informs FCA discipline/intervention.
4. SYSC's common platform (SYSC 4–10) applies to nearly all firms; key chapters cover gov-

ernance, compliance/AML, risk control, outsourcing, record-keeping, conflicts of interest, whistleblowing and remuneration.

5. Threshold Conditions (COND) must be satisfied for Part 4A permission and its retention; some conditions are FCA-only, some PRA-only, some shared.
6. SM&CR = SMR (approved senior managers, statutory duty of responsibility) + Certification Regime (firm-certified 'significant harm' functions) + Conduct Rules (two tiers: all staff, and senior managers).
7. RDR professionalism requirements: code of ethics, qualification, 35 hours CPD/year (21 structured), SPS from an accredited body.

0.4 Regulation of Investment Exchanges and Clearing Houses

0.4.1 The Role of an Investment Exchange

The FCA recognises and supervises **Recognised Investment Exchanges (RIEs)** under FSMA. **Recognition** exempts the RIE from needing authorisation to carry on a regulated activity itself. To be recognised, RIEs must meet the requirements in the **FSMA 2000 (Recognition Requirements for Investment Exchanges and Clearing Houses) Regulations 2001**. RIEs, as market operators, may operate regulated markets (RMs) and MTFs.

DEFINITION: THE BANK OF ENGLAND'S ROLE: The **Financial Services Act 2012** makes the BoE responsible for regulating settlement systems and **Recognised Clearing Houses (RCHs)**; the **Banking Act 2009** gives it responsibility for recognised payment systems. RCHs and recognised payment systems together are **Financial Market Infrastructures (FMIs)**. Where an institution provides both exchange and CCP clearing services, it is regulated as an RCH by the BoE and separately as an RIE by the FCA. BoE regulation of FMIs focuses on **systemic risk** (micro-prudential regulation and contagion risk), applying **CPSS-IOSCO principles** and UK EMIR.

The FCA recognises exchanges including the **London Stock Exchange**, **Aquis Stock Exchange**, the **London Metal Exchange** and **ICE Futures Europe**. The BoE recognises clearing houses including **ICE Clear Europe**, **LME Clear** and **LCH Ltd**. Recognised status lets the RIE/RCH develop its own means of meeting regulatory objectives, subject to FCA/BoE oversight.

KEY RULE: RIE REQUIREMENTS: An RIE must deliver high investor protection and market integrity, including: arrangements ensuring performance of transactions; sufficient financial resources; rules ensuring orderly conduct and investor protection; adequate price discovery/transparency; satisfactory transaction recording; effective monitoring/enforcement of compliance; complaint investigation arrangements; willingness to cooperate/share information with other regulators (including overseas); and default procedures.

0.4.2 UK MiFID Transparency Requirements

MiFID II introduced requirements for regulated market operators covering algorithmic trading, direct electronic access, market-making arrangements, trading halts, tick-size regimes, co-location services and clock synchronisation, plus pre-/post-trade transparency for RMs and MTFs – initially limited to equities, then extended by MiFID II to a wider range of **equity-like instruments** (depository receipts, ETFs, certificates) and **non-equity instruments** (bonds, structured finance products, emission allowances, traded derivatives), across **RMs, MTFs and OTFs**.

DEFINITION: PRE-TRADE VS. POST-TRADE TRANSPARENCY: **Pre-trade transparency** – real-time publication of current orders/quotes (prices, amounts) and depth of trading interest. May be **waived** for: illiquid instruments; negotiated-transaction systems; large-in-scale orders; and orders in an order-management facility pending disclosure.

Post-trade transparency – publication of price, volume, time and execution venue, as close to real-time as possible (publication may be delayed for large-in-scale transactions).

RMs, MTFs and OTFs must offer pre-/post-trade data separately and publish it free of charge within **15 minutes**. **Systematic Internalisers (SIs)** also have pre-trade transparency obligations. MiFID II also harmonised the commodity-derivative trading regime, requiring trading venues to monitor/manage positions: **position limits** (set by the FCA), **daily reporting** by trading venues, and FCA power to request information on position-limit compliance.

0.4.3 Key Market Bodies

London Stock Exchange (LSE) – admits public companies to the **Official List** (subject to UKLA listing requirements) or, with lighter requirements, to the second-tier market **AIM**. As an RIE, the LSE provides a market in UK/international equities, debt, covered warrants, ETFs, REITs, fixed interest, CFDs and depositary receipts.

ICE Futures Europe – an RIE where financial futures/options trade via electronic order matching; only members may trade/clear (others must act through a member). Individuals executing business are:

- **Traders** – acting on their own behalf ('locals') or their firm's behalf, profiting from taken positions.
- **Brokers** – acting on behalf of others, earning commission.

ICE Clear Europe is ICE Futures Europe's clearing house, regulated by the BoE.

0.4.4 Regulation of Derivatives Markets

Derivatives trade either on **organised exchanges** (standardised contracts, formerly open outcry, now predominantly electronic) or **OTC** (bilateral, negotiable terms). On ICE Futures Europe/LME, once a trade is matched it is registered with the relevant clearing house (**ICE Clear Europe / LME Clear**), which becomes CCP. Where a member trades on behalf of a client, a separate '**back-to-back**' contract is established – members act as **principals**, not agents; the clearing house has no involvement in the member-client relationship.

DEFINITION: MARGIN: Initial margin – cash/liquid assets lodged at the clearing house sufficient to ensure the customer can satisfy contractual obligations (fixed for futures; variable with market conditions for options). Positions are revalued daily (**marked to market**); if the margin account falls below the initial requirement, a **variation margin** top-up is required. To **offset** a contract, an equal/opposite position must be entered and notified as a closing transaction, at which point margin is returned.

Following the 2008 crisis, the **G20** agreed measures to increase OTC derivatives transparency and reduce systemic risk – implemented in the EU/UK primarily via **MiFID II/MiFIR** and **EMIR**. In the UK, all derivatives exchanges are RIEs and largely self-regulate market conduct, with the FCA regulating exchange members' financial soundness and business conduct.

KEY RULE: EMIR'S THREE REQUIREMENTS (RECAP): Entities entering derivative contracts must: (1) report every contract to a **trade repository**; (2) implement risk-management standards (including margining) for uncleared bilateral OTC derivatives; (3) clear via a CCP those derivatives subject to a mandatory clearing obligation; and trade, on-venue, those subject to the **Derivatives Trading Obligation (DTO)**. The BoE maintains the **Public Register for the Clearing Obligation**.

Trade Repositories (TRs) are registered under UK EMIR / UK SFTR and centrally collect derivative and securities-financing-transaction (SFT) records, providing authorities access for monitoring systemic risk. Four TRs are currently registered with the FCA under UK EMIR (including DTCC Derivatives Repository and ICE Trade Vault), reporting **129 data fields** per transaction, covering counterparty details and contract characteristics/valuation/lifecycle events. SIs in non-equity instruments (including derivatives) have a quoting regime requiring firm, non-discriminatory quotes available to clients (subject to commercially reasonable client-selection discretion). Post-trade disclosure for derivatives (including SIs) is made public via an **Approved Publication Arrangement (APA)**.

SECTION 3.4 – KEY FACTS

1. RIEs are recognised/supervised by the FCA; RCHs and recognised payment systems (together 'FMIs') are regulated by the BoE, focused on systemic risk.
2. Pre-trade transparency can be waived (illiquidity, negotiated systems, large-in-scale, order-management facility); post-trade publication must be near-real-time, with delay allowed for large-in-scale trades.
3. LSE admits to the Official List (UKLA rules) or AIM (lighter requirements); ICE Futures Europe members act as principals via 'back-to-back' contracts.
4. EMIR's three obligations: clear via CCP, risk-mitigate uncleared trades, report to a trade repository (129 data fields, four UK-registered TRs).

0.5 FCA Business Standards

0.5.1 Client Categorisation

The FCA Handbook defines a **client** as a person to whom a firm provides, intends to provide, or has provided a regulated (or, for MiFID business, ancillary) service – including potential clients and clients of appointed representatives.

DEFINITION: THREE CLIENT CATEGORIES:

- **Retail clients** – afforded the *most* regulatory protection.
- **Professional clients** – more experienced/knowledgeable/sophisticated, able to assess their own risk, fewer protections.
- **Eligible counterparties** – investment firms, credit institutions, insurers, UCITS/management companies and other regulated financial institutions, and (in certain cases) other undertakings; subject to a 'light-touch' regime.

MiFID permits movement between categories (generally, or per service/transaction/product) subject to criteria. An elective professional client **cannot** 'opt up' directly to eligible counterparty status.

A '**per se** professional client' is (unless an eligible counterparty): an entity required to be authorised/regulated in financial markets; for MiFID business, a large undertaking meeting **two of**:

balance sheet total €20m; net turnover €40m; own funds €2m; for non-MiFID business, a corporate body with called-up share capital ≥£5m, or meeting two of: balance sheet £12.5m, turnover £25m, average 250 employees; a national/regional government, public debt-issuing body, central bank, or supranational body; or another institutional investor mainly investing in financial instruments.

KEY RULE: ELECTIVE PROFESSIONAL CLIENT – THE TESTS: A firm may treat a client as an elective professional client where:

1. **Qualitative test** – the firm assesses the client’s expertise/experience/knowledge as giving reasonable assurance of capability to make own investment decisions and understand the risks.
2. **Quantitative test** (MiFID/equivalent business) – at least **two** of: (a) ≥10 significant-size transactions per quarter over the previous four quarters; (b) financial instrument portfolio (incl. cash deposits) ≥£500,000; (c) ≥1 year’s relevant professional-sector experience.
3. **Procedure** – written client request; clear written FCA-protection warning from the firm; written client acknowledgement in a separate document.

Eligible counterparties arise ‘per se’ (investment firms, credit institutions, insurers, UCITS/pension-fund management companies, other regulated financial institutions, national governments, central banks/supranationals) or ‘electively’ (for non-MiFID business: a per se professional-client undertaking that requests such categorisation; for MiFID business: express confirmation of agreement to be treated as an eligible counterparty). The light-touch regime is limited to: executing orders; dealing on own account; and/or receiving and transmitting orders. A firm must always allow a client to request **re-categorisation to a higher protection level** – though this does not restore all protections (e.g. FOS access).

MiFID II requires a basic **written client agreement** for professional as well as retail clients, per investment/ancillary service (not only for new clients), covering agreement terms and firm/service information. Records must be kept for the relationship duration (indefinitely for pension transfers/opt-outs/FSAVCs).

0.5.2 Financial Promotions and Other Communications

DEFINITION: FINANCIAL PROMOTION: An invitation or inducement to engage in **investment activity** (entering/offering a controlled agreement, or exercising rights under a controlled investment). Regulated under **section 21 FSMA** and the **Financial Promotion Order 2005 (FPO)**, covering (among others): pensions; bonds/gilts; shares; CIS units; endowments; derivatives; ISAs; child trust funds; funeral plans; and various insurance products.

An unauthorised person may not communicate a financial promotion in the UK unless its content is **approved by an authorised person** (which itself now requires specific FCA permission, subject to exemptions) or an **FPO exemption** applies. The rule applies across all media (print, broadcast, digital, social media). FPO exemptions fall into three parts: (1) applicable to all controlled activities (e.g. overseas recipients, follow-up promotions, introductions, exempt persons, generic promotions, investment professionals, journalists); (2) deposits/non-life insurance only; (3) other controlled activities (e.g. certified high-net-worth individuals, sophisticated investors).

KEY RULE: FAIR, CLEAR AND NOT MISLEADING: Principle 7 and COBS require all communications (including promotions) to be **fair, clear and not misleading**. This does not apply to excluded (one-off, non-cold-call) communications, or promotions solely to investment professionals/eligible counterparties (though the underlying ‘fair, clear, not misleading’ principle still applies where the communication is also to a professional client). Compliance requires:

clear disclosure of capital-at-risk; balanced yield figures; adequate information for complex charging structures; naming the FCA as regulator; and a fair impression of third-party product producers.

Retail client communications must: name the firm; be accurate, with prominent risk indications at least as prominent (font size) as benefit indications; be understandable by the average target-group member; not obscure important warnings; use consistent language/layout; be current. Comparisons must be fair, meaningful, balanced (sources/assumptions specified for MiFID business); tax-treatment references must note individual/future-change caveats.

KEY RULE: PAST-PERFORMANCE DISCLOSURE CONDITIONS:

1. Past performance must not be the most prominent feature.
2. Must cover ≥ 5 years (or the whole available period), based on complete 12-month periods.
3. Reference period and source clearly stated.
4. Prominent warning: past performance is not a reliable indicator of future results.
5. Currency stated with a fluctuation-risk warning if not the client's own currency.
6. Effect of commissions/fees/charges disclosed if gross performance is shown.

Simulated past performance must be based on actual past performance of the same/substantially similar instruments, meet conditions 1–3/5–6 above, and carry a prominent 'simulated' warning.

0.5.2.1 High-Risk Investment Promotions

The FCA (February 2023) strengthened rules following evidence that retail clients were investing in high-risk products misaligned with their risk tolerance, distinguishing:

DEFINITION: RISK-TIERED PRODUCT CATEGORIES:

- **Readily Realisable Securities (RRS)** – mass marketing permitted.
- **Restricted Mass Market Investments (RMMI)** – e.g. Non-Readily Realisable Securities, P2P agreements, qualifying cryptoassets – mass marketing allowed to retail investors subject to restrictions.
- **Non-Mass Market Investments (NMMI)** – e.g. Non-Mainstream Pooled Investments, Speculative Illiquid Securities – mass marketing **banned** to retail investors.

Restrictions increase with product risk.

From **October 2023**, promotion restrictions extend to **qualifying cryptoassets** (cryptographically secured, transferable, fungible digital value/rights, e.g. Bitcoin, Ethereum – excluding e-money, existing controlled investments, fiat currency, and most NFTs). Such promotions can only be communicated by an FCA-authorized firm, an unauthorized firm with authorized-firm approval, or under an exemption – regardless of the promoting firm's location, if capable of effect in the UK. Cryptoassets are categorised as RMMI.

A **direct offer financial promotion** contains an offer (or response invitation) to enter a controlled agreement, specifying a response mechanism. Addressed to retail clients, it must contain relevant disclosure information (or reference a document containing it).

DEFINITION: COLD CALLS: A financial promotion by personal visit/telephone/interactive dialogue that was **not initiated by, or expressly requested by**, the recipient. Permitted only where: an existing client relationship envisages such calls; it relates to a generally marketable packaged product (excluding higher-volatility funds/linked life policies); or it relates

to readily realisable securities or generally marketable non-g geared packaged products. Non-written promotions must: occur at an appropriate time of day; state purpose and firm identity at the outset; allow the client to terminate at any time; and provide a contact point.

Distance marketing requires provision of prescribed information (firm, service, contract, redress) in good time, clearly and comprehensibly, before the consumer is bound.

Social media promotions (FCA guidance, March 2024): any communication (including private/invitation-only channels, public forums, ‘influencer’ content, and memes – notably in cryptoassets) capable of inviting/inducing investment activity is a financial promotion. Adverts must be fair, clear, not misleading, balanced, and carry prescribed risk warnings. Unauthorised persons promoting regulated products without authorised-person approval risk a criminal offence: up to **two years’ imprisonment**, an unlimited fine, or both.

Systems, controls and record-keeping: firms must have adequate systems/controls for approving/communicating promotions, and confirm compliance before approving a promotion for an unauthorised person. From **February 2024**, firms need specific FCA permission (Variation of Permission) to approve promotions for unauthorised firms (exemptions: appointed representatives, same corporate group, the firm’s own promotions via unauthorised persons). Records of promotions must be retained: indefinitely (pension transfer/opt-out/FSAVC); six years (life policy, occupational/personal/stakeholder pension, SSAS); five years (MiFID/equivalent business); three years (other cases).

0.5.2.2 Adviser Charging, Inducements and Fund Manager Charges

Since **1 January 2013**, a firm making a personal recommendation to a retail client on a retail investment product cannot earn provider-set commission – only a pre-agreed **adviser charge**. This applies equally to independent and restricted advice, but *not* to basic advice (pre-scripted stakeholder-product advice, where commission remains permitted) or non-advised/execution-only business. Related services (arranging the transaction, administration, managing the discretionary-manager relationship) fall within the same regime; product providers are prohibited from paying commission/benefits for advice or related services (though facilitating adviser-charge payment from the client’s investment is permitted).

KEY RULE: ADVISER CHARGING – FACILITATION REQUIREMENTS (COBS 6.1B.9): A firm facilitating adviser-charge payment (directly or via a platform) must: obtain and validate client instructions; offer sufficient flexibility in charges facilitated; and not advance/pay adviser charges to the advising firm on a materially different time period/basis than it recovers them from the client.

Charging structures may be standardised (a price list) rather than bespoke, and may be fixed-fee, hourly or percentage-based – provided the client’s best interests are served; ongoing charges are only appropriate for an ongoing, value-added, disclosed service. The structure must be disclosed **in writing, in good time, in clear and plain language**; material deviations disclosed ‘as early as practicable’; total charges agreed/disclosed in cash terms (or illustrative cash equivalents). Records of the charging structure and any material deviations must be kept.

DEFINITION: INDUCEMENTS UNDER MiFID II: MiFID II bans inducements for firms providing **independent advice** and **portfolio management** to professional clients, and (for retail clients) extends the ban to both independent *and* restricted advice. **Rebating** of inducements to retail clients is banned. The ban applies to all payments/fees/non-monetary benefits, regardless of materiality – except **minor non-monetary benefits** that (i) enhance

service quality, (ii) do not impair the duty to act in clients' best interests, and (iii) are clearly disclosed.

Third-party **research** historically required funding via a specific **Research Payment Account (RPA)** (by research-need reference, not execution volume/value) to avoid being an inducement. From **August 2024**, UK firms may use **bundled payments** for research and execution commissions (subject to conditions): direct payment from the firm's own resources; payment from a compliant RPA; or joint bundled payment meeting the requirements. Research charges must be separable from commission; excess charges rebated; RPAs cannot fund internal research; and firms need robust quality-assessment policies, senior-management oversight, an audit trail, and at least annual client reporting.

MiFID II also requires **full cost disclosure** for fund managers – beyond the **Ongoing Charges Figure (OCF)** – to include transaction/trading costs and other charges (e.g. platform charges), disclosed in 'pounds and pence' at least annually. Following the 2017 FCA **Asset Management Market Study**: fund managers must conduct an annual **assessment of value**; $\geq 25\%$ of an AFM's board must be independent directors (minimum two); a new SM&CR prescribed responsibility applies; retention of risk-free box profits is prohibited; and guidance eases conversion of investors to cheaper share classes.

0.5.2.3 FCA Anti-Greenwashing Rule

Effective **end of May 2024** (all FCA-regulated firms): any reference to a product/service's sustainability characteristics must be (a) consistent with the product's actual characteristics, and (b) fair, clear and not misleading. Guidance requires such communications to be: correct/substantiated by evidence; clear/understandable; complete (no omissions, covering the full lifecycle); and any comparisons fair/meaningful. This complements the **Sustainability Disclosure Requirements (SDR)** and investment labelling regime (covered under Product Governance below).

SECTION 3.5 (PART 1) – KEY FACTS

1. Three client categories: retail (most protection), professional (per se or elective, via qualitative + quantitative tests), eligible counterparty (light-touch regime for execution/dealing/order transmission only).
2. An elective professional client cannot opt up directly to eligible counterparty status; clients can always request re-categorisation to a higher protection level.
3. Financial promotions must be fair, clear and not misleading (Principle 7/COBS); unauthorised communication is prohibited absent approval or an FPO exemption.
4. High-risk investment promotion tiers: RRS (mass marketing allowed) → RMMI (restricted mass marketing, incl. cryptoassets from Oct 2023) → NMMI (mass marketing banned to retail).
5. Since Jan 2013, retail investment product advice must be paid via adviser charging, not provider commission (except basic advice/execution-only).
6. MiFID II bans inducements for independent advice/portfolio management (retail: also restricted advice); minor non-monetary benefits are a narrow exception. From Aug 2024, bundled research/execution payments are again permitted subject to conditions.
7. FCA anti-greenwashing rule (May 2024) requires sustainability claims to be accurate, clear, complete and fairly comparative.

0.5.3 Identifying Client Needs: Suitability and Appropriateness

DEFINITION: SUITABILITY OBLIGATION: Firms providing **investment advisory** or **discretionary portfolio management** must assess suitability for all retail clients and for professional clients (including those who would otherwise be eligible counterparties for other services). This requires information on the client's: **investment objectives** (including risk tolerance); **financial situation** (including ability to bear losses); and **knowledge and experience** relevant to the instrument/service.

Suitability must be assessed not only before a personal recommendation, but for *all* decisions on whether to trade (including hold/sell decisions in discretionary management). Knowledge/experience *can* be assumed for a professional client (not for a retail client). A *per se* professional client's ability to bear investment risk can be assumed *only* where the service is investment advice – *not* for retail clients, elective professional clients, or any client receiving discretionary portfolio management.

KEY RULE: SUITABILITY REPORTS: A written **suitability report** (durable medium) is required for a retail client following a personal recommendation where the client: buys/sells CIS shares/units; buys/sells investment trust savings scheme shares; buys, sells, surrenders, cancels or suspends contributions to a personal/stakeholder pension; elects income withdrawals from a short-term annuity; enters a pension transfer/opt-out; or transacts on a life policy. It must be provided **as soon as possible** after the transaction, setting out client needs/demands, why the transaction is suitable, and possible disadvantages.

Additional MiFID II suitability changes: firms must assess suitability of an **overall package** where products/services are bundled; remain responsible for suitability via automated/part-automated advice; ensure client information is **reliable** and (for ongoing services) **kept up to date**; produce **periodic** suitability reports for discretionary management (which may be limited to changes); refrain from any recommendation/trading decision where a service/investment is unsuitable; and, for switching, collect information on existing investments to weigh costs and benefits.

DEFINITION: INSISTENT CLIENTS: A client who wishes to proceed against the firm's advice, having received a personal recommendation, chosen a different transaction, and asked the firm to facilitate it. The firm must clearly communicate: that the transaction is not recommended and not in accordance with the recommendation; the reasons; the risks; and why the recommended transaction was preferred – and should obtain the client's own-words acknowledgement, retaining full records.

CAVEAT / EXCEPTION: CHURNING AND SWITCHING: **Churning** – excessive trading of a client's account (generally) to generate commission. **Switching** – moving a client between/within packaged products against their best interests. Both are hard to identify unless blatant; market conditions affect whether trading frequency/switching was appropriate.

DEFINITION: APPROPRIATENESS OBLIGATION: Applies to **non-advised** services (i.e. investment services other than advice/discretionary management, where suitability rules do not apply). The firm must obtain information on the client's knowledge/experience relevant to the specific product/service to assess whether it is **appropriate**. If assessed as inappropriate but the client still wants to proceed, the firm must warn the client (standard-form warning acceptable); if insufficient information is provided, the firm must warn that it cannot judge appropriateness. Professional clients are **assumed** to possess the necessary knowledge/experience.

The appropriateness obligation does *not* apply to **non-complex financial instruments** (non-derivative, easily traded, value readily available, no obligation beyond acquisition cost, publicly available understandable information).

0.5.3.1 *Independent vs. Restricted Advice*

KEY RULE: Independent advice – the firm must: consider a broad range of **retail investment products** (wider than ‘packaged products’ – includes structured products, all investment trusts, unregulated CIS, and other packaged exposures to underlying assets); provide unbiased, unrestricted advice from a comprehensive, fair market analysis; and inform clients (before advising) that its advice is independent.

Restricted advice – where a firm advises on products from a limited range of providers or product types, it must describe itself as ‘restricted’ and disclose (in writing and orally, before advising) the nature of the restriction.

0.5.4 Dealing and Managing

DEFINITION: BEST EXECUTION OBLIGATION: Firms must take **all reasonable steps** to obtain the best possible result for clients executing orders, via an established, up-to-date, disclosed **best execution policy**. Relevant factors: price, costs, speed, likelihood of execution/settlement, size, nature, and any other relevant consideration. Executing outside a regulated market/MTF requires the client’s **express prior consent**.

KEY RULE: EXECUTION FACTORS – NOTION OF REASONABLENESS: When executing an order, relative importance is determined by: client characteristics (retail/professional); order characteristics; instrument characteristics; and execution-venue characteristics. Firms have more latitude with professional clients. For retail-client orders where multiple competing venues exist, the firm must assess/compare likely results across all venues in its policy (including its own commissions/costs). A single venue may only be used where it consistently delivers the best possible, and near-optimal, results.

The **order execution policy** must be provided to retail clients (in good time, in a durable medium or via website) with: the relative importance/weighting process for execution factors; a list of significant execution venues; and a prominent warning that specific client instructions may prevent the firm applying its policy for the covered elements. The policy and arrangements must be reviewed **annually** and whenever a material change occurs.

DEFINITION: CLIENT ORDER HANDLING: Firms must: ensure orders are promptly/accurately recorded and allocated; execute comparable orders sequentially/promptly (unless impracticable or contrary to client interests); and promptly inform retail clients of material execution difficulties. **Aggregation** of a client order with another client order, or with the firm’s own account, requires: it be unlikely to disadvantage any aggregated client overall; disclosure to each client that aggregation *may* work to their disadvantage on a particular order; and an established, effectively implemented **order allocation policy** (covering fair allocation, volume/price-based allocation and partial-execution treatment).

KEY RULE: PERSONAL ACCOUNT DEALING: Firms must prevent relevant persons (those with conflict-of-interest exposure or access to inside/confidential information) from: entering a

personal transaction prohibited under MAR, involving misuse/improper disclosure of confidential information, or conflicting with a firm obligation; advising/procuring another to enter such a transaction; or improperly disclosing information likely to lead to such a transaction. Relevant persons must be informed of the restrictions; personal transactions must be promptly notified to the firm and recorded (kept for outsourcing arrangements too). **Excluded:** transactions under discretionary portfolio management; transactions in CIS units/shares; and life-policy transactions.

0.5.5 Investment Research

DEFINITION: INVESTMENT RESEARCH: Research or information recommending/suggesting (explicitly or implicitly) an investment strategy concerning one or more financial instruments/issuers, including opinions on present/future value/price, intended for distribution channels or the public, that is: labelled/presented as objective/independent research; and would not constitute a personal recommendation if made directly to a client. Generic material (political/economic/market commentary) is *not* investment research unless it also recommends a strategy and is so labelled.

CAVEAT / EXCEPTION: FRONT RUNNING: A financial analyst or anyone aware of research timing/content must not deal ahead of publication (personally, for the firm, or for another) until recipients have had a reasonable opportunity to act – except a market maker acting in good faith in the ordinary course of business, or execution of an unsolicited client order.

Producing investment research requires arrangements ensuring: no inducements accepted from those with a material interest in the research subject; analyst remuneration not linked to specific transactions/recommendations; analysts not directly supervised by, or reporting to, investment banking/sales-trading personnel; and analysts not used in a marketing capacity that would undermine independence. Firms disseminating *another party's* research to the public/clients are exempt from the production requirements if: the producer is outside the firm's group; the recommendations are not substantially altered; the research is not presented as the disseminating firm's own; and the producer is confirmed to be subject to research-production requirements (or an equivalent policy).

KEY RULE: RESEARCH DISCLOSURE REQUIREMENTS: Research recommendations must clearly/prominently disclose the identity of the producer (analyst name/job title, firm name, and – for investment firms/credit institutions – the competent authority). Firms must ensure: facts are distinguished from interpretation/opinion; sources are reliable (or doubt flagged); projections/forecasts/price targets are clearly labelled with material assumptions; and the substance can be substantiated on FCA request, with sufficient supporting records retained.

0.5.6 Product Governance and Disclosure Requirements

DEFINITION: MANUFACTURER VS. DISTRIBUTOR (PROD): A **manufacturer** creates, develops, issues and/or designs investments (including advising corporate issuers on new-investment launches). A **distributor** offers, recommends or sells investment products, or provides investment services to clients.

KEY RULE: PROD OBLIGATIONS: **Manufacturers** must: design products (including charges) to meet the target market's needs, identifying unsuitable groups; consider market-

functioning impacts; stress-test products; assess charging appropriateness; align distribution strategy with the target market; document shared responsibilities in joint-product arrangements; and ensure compliance-function monitoring and board oversight of product governance, sharing relevant information with distributors.

Distributors must: identify likely-suitable and unsuitable target markets before distribution; gather manufacturer information; align distribution strategy with the target market; review products regularly for continued target-market fit, adjusting distribution/other processes if problems arise; feed sales/review information back to manufacturers; and ensure compliance-function monitoring and board oversight, sharing information along the distribution chain.

PROD and the **Consumer Duty** interact: PROD 3 compliance (manufacturer obligations) provides evidence toward the Consumer Duty's products/services and price/value outcomes – but the Duty's obligations extend further, requiring consideration of a wider range of factors.

0.5.6.1 PRIIPs

The **Packaged Retail and Insurance-based Investment Products (PRIIPs) Regulation** (January 2018) covers investments where the retail investor's repayment amount fluctuates due to exposure to reference values or asset performance not directly purchased by the investor. (Note: the FCA is consulting on a **Consumer Composite Investments** regime to replace PRIIPs, expected late 2025 with a transitional period.)

DEFINITION: PRIIPs vs. Non-PRIIPs: **PRIIPs:** regulated funds (NURS, QIS), AIFs (including unregulated CIS – unauthorised unit trusts, private equity, hedge funds), AIFs that are not CIS (investment trusts, VCTs, EuSEFs, EuVEECAs), insurance-based investments, structured products, derivatives, certain SPV-issued investments, and investment trust savings schemes.

Non-PRIIPs: non-life insurance, deposits (except structured deposits), pensions, annuities, debt securities, ISAs.

PRIIPs applies only where offered/sold/made available to a retail investor. Manufacturers (or those altering an existing PRIIP) must prepare and publish a **Key Information Document (KID)** per product; advisers/sellers must provide it **in good time before** any transaction (or, for distance-communication transactions initiated by the client, after – subject to client consent and a right to delay). A KID: is a maximum **three sides of A4**; may cross-reference other documents; and contains prescribed sections in a fixed sequence (what is this product; risks and returns; insolvency of manufacturer; costs; recommended holding period/early exit; complaints; other information). UCITS schemes are exempt from the KID requirement until **31 December 2026**, continuing to use the **Key Investor Information Document (KIID)** in the interim.

DEFINITION: KIID CONTENT: Concise, non-technical, understandable, fair, clear, not misleading. Covers: scheme identification; investment objectives/policy; past performance or performance scenarios; costs/charges; and risk/reward profile. Updated on material change, before proposed changes to fund rules/prospectus, or at least **annually** (within **35 business days** of each year-end).

For **non-PRIIP** packaged products, firms must provide a **key features document** and **key features illustration** (unless a KIID applies), covering the product's nature/complexity, mechanics, limitations, benefits/risks, complaints arrangements, FSCS applicability, and cancellation rights. The illustration must include a standardised deterministic projection consistent with the charges information (nominal/real terms consistently applied), with optional stochastic projections as a

supplement (not replacement).

0.5.6.2 Sustainability Disclosure Requirements (SDR) and Labelling

KEY RULE: FOUR SUSTAINABILITY LABELS:

- **Sustainability Focus** – invests in environmentally/socially sustainable assets against a robust evidence-based standard.
- **Sustainability Improvers** – invests in assets with potential to become more sustainable over time.
- **Sustainability Impact** – seeks a predefined, positive, measurable environmental/social impact.
- **Sustainability Mixed Goals** – combines the above approaches.

Five overarching principles: (1) sustainability objectives (with disclosure of any material negative trade-offs); (2) investment policy/strategy (ordinarily $\geq 70\%$ of assets aligned with the objective); (3) KPIs and an escalation plan for underperforming assets; (4) resources and governance; (5) stewardship strategy disclosure. Implementation is phased from **July 2024** over two years, initially applying to fund distributors.

0.5.6.3 Cancellation Rights

A retail client may cancel a packaged product within **14 days** (**30 days** for life policies and pension schemes), for advised transactions or those subject to distance-selling rules. Records of cancellation exercise must be kept: indefinitely (pension transfer/opt-out/FSAVC); ≥ 5 years (life policy, pension contract/scheme); ≥ 3 years (other cases).

0.5.6.4 Temporary Product Intervention

Under **section 137D FSMA** (as amended), the FCA may impose product-feature requirements, restrict sales/marketing, or ban a product outright. **Temporary Product Intervention Rules (TPIRs)** may be made without prior consultation where consultation delay would prejudice consumer interests, limited to **12 months' duration**. Used where a product is in 'serious danger' of being mis-sold – e.g. inherently flawed products, disproportionate incentives for indiscriminate targeting, or restricted product ranges harming competition/consumer choice.

0.5.7 Record-Keeping and Reporting Information

KEY RULE: RECORD-KEEPING PERIODS (SUMMARY):

- Client categorisation records – business-relationship duration (MiFID/equivalent, life/pension) or **3 years** (other).
- Suitability records (MiFID business, life policies, pensions) – **5 years** from advice date.
- Order/dealing-decision records – **5 years**.
- Pension transfer/opt-out client categorisation – indefinitely.

DEFINITION: OCCASIONAL REPORTING: Following order execution (except discretionary management), the firm must promptly provide essential execution information (durable medium). For retail clients: confirmation **no later than the first business day** following execution (or receipt of third-party confirmation). Essential information includes maturity/expiry/strike details for derivatives and exercise details for options.

DEFINITION: PERIODIC REPORTING: For managed investments: retail clients receive a periodic statement **every three months** by default, subject to exceptions (online durable-medium access with quarterly evidence of use → statement optional; transaction-by-transaction reporting with no derivative exposure → **annual** statement; leveraged portfolio → **monthly**). Retail clients must be informed of their right to request quarterly statements. Losses exceeding an agreed threshold (managed investments, or uncovered contingent-liability positions) must be reported by **close of the business day** the threshold is breached (or next business day if breached on a non-business day). Statement copies retained: ≥5 years (MiFID/equivalent business); ≥3 years (other).

Authorised fund reporting: the AFM must prepare and send a **short report** half-yearly/annually to all unitholders (covering scheme identity, objectives/strategy, risk profile/SRRI, investment review, performance record, portfolio composition), and make a **long report** (accounts, depositary/auditor reports) available on request.

KEY RULE: VALUE FOR MONEY ASSESSMENT (COLL 6.6.21): Following the 2018 Asset Management Market Study, AFMs must assess, and publish an annual report on, each fund's **value for money**, considering seven minimum criteria: (1) quality of service; (2) fund performance (net of charges, appropriate timescale); (3) AFM costs; (4) economies of scale; (5) comparable market rates; (6) comparable services (across the AFM's client base); (7) classes of units (fairness of differential charges). A senior individual holds an SM&CR **prescribed responsibility** for this assessment; reports must be published within **four months** of the fund's annual accounting period end.

0.5.8 Client Assets and Client Money Rules

DEFINITION: FIDUCIARY DUTY: An obligation to act in another's best interests, arising where a client places special trust and confidence in another (the fiduciary) who exercises discretion/expertise on the client's behalf, having knowingly accepted that trust. A mere business relationship (direction/supervision/approval of actions) does not, of itself, create a fiduciary relationship. A fiduciary may not act adversely to, or for personal benefit at the expense of, the client, and must exercise all reasonable skill, care and diligence.

Principle 10 requires adequate protection of clients' assets when a firm is responsible for them, covering both **custody assets** (CASS 6) and **client money** (CASS 7). Firms must annually determine and notify the FCA of their **CASS classification**:

Table 3: CASS Firm Classifications

Firm Type	Highest Client Money Held	Highest Safe Custody Assets Held
CASS large firm	More than £1bn	More than £100bn
CASS medium firm	£1m – £1bn	£10m – £100bn
CASS small firm	Less than £1m	Less than £10m

A CASS medium/large firm must allocate CASS-oversight responsibility to a single director/senior manager; a CASS small firm must allocate CASS compliance responsibility similarly.

0.5.8.1 Custody of Clients' Assets (CASS 6)

Designed primarily to restrict co-mingling of client and firm assets and minimise unauthorised use of client assets. Firms must register/record legal title of client assets in the client's name or an appropriate nominee (recording in a custodian's/the firm's own name only where required by non-UK law/market practice).

KEY RULE: DEPOSITING ASSETS WITH THIRD PARTIES: Permitted only with due skill, care and diligence in selecting/appointing/reviewing the third party and its safekeeping arrangements, considering the third party's expertise/reputation and relevant legal requirements affecting client rights. Firms must: identify client assets separately from firm and third-party assets; record the grounds for selection (retained for 5 years after ceasing use); and hold a written agreement with the third party setting out binding terms and the custody services provided.

Use of clients' assets (e.g. stock lending, repos) requires the client's **prior consent**, restricted to the specified consented terms.

DEFINITION: RECONCILIATION OF CUSTODY ASSETS: **Internal custody record checks** – at least **monthly**, via internal custody reconciliation (comparing two separately maintained records) or the internal system evaluation method.

Physical asset reconciliation – at least **every six months**, via total count or rolling stock methods.

External custody reconciliation – at least **monthly**, comparing firm records against third-party records (not required for paper-certificate holdings, though periodic spot checks are expected).

Discrepancies causing a shortfall must be resolved immediately, or the firm must segregate an equivalent amount of its own assets/client money for client protection pending resolution; where a third party or timing difference is responsible, the firm need not (but may) make good the deficit.

0.5.8.2 Client Money Rules (CASS 7)

Applies to money received/held from/for a client in MiFID or designated investment business, protecting client money on firm insolvency by requiring segregation. Money for which full ownership has been transferred to cover obligations (**title transfer**) ceases to be client money.

KEY RULE: CLIENT BANK ACCOUNTS: Client money must be placed promptly into one or more accounts with: a central bank; a BCD credit institution; a bank authorised in a third country; or a qualifying money market fund – identified separately from the firm's own accounts. Under the '**normal approach**', client money must be received directly into client bank accounts. The '**alternative approach**' (client money flows through the firm's own accounts, subject to auditor-confirmed adequate systems/controls) is appropriate only for firms in a multi-product, multi-currency environment where the normal approach would be unduly burdensome – and requires annual review of continued appropriateness (ceasing within **six months** if no longer appropriate).

Account types: **general** client bank account, **designated** client bank account (title includes 'designated'; not pooled on bank failure unless the firm itself fails), and **designated client fund account**. Firms may engage in '**prudent over-segregation**' (transferring own funds into client accounts to prevent shortfalls), governed by a written policy and a **prudent segregation record**. Records distinguishing client assets/money must be kept for **5 years**.

DEFINITION: RECONCILIATION OF CLIENT MONEY: **Internal reconciliations** – normally each **business day**, using standard methods: **individual client balance** method (available to all firms) or **net negative add-back** method (CASS 7 asset managers/loan-based crowdfunding firms without margined transactions). Firms must be able to determine the total client money held for each client within **two business days**. **External reconciliations** compare internal records against third-party (client-money-holder) records.

DEFINITION: MANDATES: Any means giving a firm control over a client's assets/liabilities – obtained from and retained with the client's consent, enabling the firm to instruct another party (e.g. the client's bank/custodian) regarding the client's money, entitlement, assets, or debts, without further client involvement. Can take any written form (e.g. a direct debit instruction over a client's bank account in the firm's favour).

CAVEAT / EXCEPTION: TITLE TRANSFER COLLATERAL ARRANGEMENTS (TTCAs): Used chiefly by CFD/spread-betting firms for margined transactions, allowing margin to be treated as the firm's own working capital rather than segregated client money – meaning margin is recoverable only as an **unsecured creditor claim** on firm insolvency, and may be irrecoverable. MiFID II and the FCA Client Asset rules **prohibit** TTCA use with **retail clients**. For non-retail clients, a TTCA requires: disclosure of the risks/effects; and an appropriateness assessment (considering the connection between the client's liability and the TTCA's necessity, and the extent to which secured assets/money exceed that liability).

SECTION 3.5 (PART 2) – KEY FACTS

1. Suitability applies to advice/discretionary management (retail and professional clients); appropriateness applies to non-advised services (retail only meaningfully, since professional clients' knowledge/experience is assumed).
2. Suitability reports are mandatory for specified retail-client transactions (funds, investment trust schemes, pensions, annuities, life policies), provided as soon as possible after the transaction.
3. Best execution requires all reasonable steps and an up-to-date, disclosed execution policy, reviewed at least annually; personal account dealing rules protect against misuse of inside/confidential information.
4. Investment research rules prohibit front-running and require independence safeguards (remuneration, reporting lines, no inducements) and clear producer disclosure.
5. PROD sets manufacturer/distributor product-governance duties; PRIIPs requires a KID (max 3 sides A4) before a retail transaction; UCITS use a KIID until Dec 2026.
6. CASS classification (small/medium/large) drives the intensity of custody/client-money oversight; custody and client-money reconciliations must occur at least monthly (internal) with 6-monthly physical asset checks.
7. TTCAs are banned for retail clients and require disclosure plus an appropriateness assessment for non-retail clients.

0.6 FCA Supervision and Redress

0.6.1 Supervision and Enforcement Powers of the FCA

DEFINITION: THE FCA'S SUPERVISORY MODEL: Five guiding principles: (1) forward-looking; (2) outcomes-focused; (3) proportionate and evidence-led; (4) transparent; (5) integrated and coordinated. Supervision is organised around four processes: identification of harm; diagnostic tools; remedy tools; and evaluation.

The FCA can require production of information/reports, conduct investigations, and access premises; firms must make records and personnel available (SUP 2.3.3). For rule breaches, the FCA may issue a **private warning**, or (for more serious breaches) a **public statement** or a **financial penalty**. For very serious matters, the FCA may issue a **warning notice** before a final enforcement decision, promoting early transparency. Where there are serious concerns about a firm, the FCA can **vary or cancel** its Part 4A permission. Appeals against FCA decisions go to the **Tax and Chancery Chamber of the Upper Tribunal** (independent of the FCA, procedural rules set by the Lord Chancellor).

KEY RULE: PRODUCT AND PROMOTION BANNING POWERS (FINANCIAL SERVICES ACT 2012): The FCA can **ban products** presenting an unacceptable consumer risk (following market consultation, save for a **temporary 12-month ban** without consultation where prompt intervention is needed). It can also **ban misleading financial promotions** – targeted at the specific promotion, not necessarily the whole firm, usable standalone or ahead of enforcement action. Procedure: (1) the FCA issues a **direction** to remove the promotion, with reasons; (2) the firm may make representations; (3) the FCA confirms, amends or revokes the direction (publishing it, the promotion, and reasons if confirmed); (4) the firm may refer an unrevoked direction to the **Upper Tribunal**.

CAVEAT / EXCEPTION: FCA CRIMINAL PROSECUTION POWERS: The FCA can prosecute: unauthorised regulated activity; false claims of authorisation/exemption; unlawful financial promotion; failure to cooperate with, or giving false information to, an FCA investigator; misleading the FCA; **insider dealing** (CJA 1993, Part V); and money-laundering-regulation breaches.

0.6.2 Complaints and the Financial Ombudsman Service

DEFINITION: COMPLAINTS HANDLING PROCESS: A firm must have and operate written, publicised, effective **complaints-handling procedures**. Within **eight weeks** of receiving a complaint, the firm must send either a **final response**, or a written response explaining the delay, indicating an expected resolution date, informing the complainant of their right to refer to the FOS, and enclosing the standard explanatory leaflet. Complaint records must be kept for ≥ 5 years (MiFID business) / ≥ 3 years (other). Most firms must submit a **biannual complaints report** to the FCA (numbers, completion timescales, validity outcomes).

KEY RULE: FOS JURISDICTION: **Compulsory jurisdiction** – automatically covers FCA-regulated firms for certain complaint types.
Voluntary jurisdiction – covers firms (by contractual sign-up) for complaint types not automatically covered.

The FOS scheme is available where a complaint is unresolved after **two months**, and must be referred within **six years** of the event (or **three years** of the complainant's knowledge of it), and in any case within **six months** of the firm's final response. The FOS may dismiss a complaint without mer-

its review if, e.g., there is no financial loss/material inconvenience/distress, it is frivolous/vexatious, or the firm has already made a reasonable compensation offer. Process: mediation attempt (where a reasonable prospect exists) → investigation with both-party representations → provisional assessment → (if disputed) a written statement of determination.

DEFINITION: FOS DETERMINATIONS: Binding on the **firm** if the **complainant accepts** it (not binding on the firm if the complainant rejects it). A determination may be a **money award** or a **direction** (corrective steps, not necessarily monetary). Maximum money award: **£415,000** for complaints referred after 1 April 2023 concerning acts/omissions on or after 1 April 2019; **£190,000** for complaints referred after 1 April 2023 concerning acts/omissions before 1 April 2019. Firms are invited (but not compelled) to pay any excess. The Financial Services Act 2012 requires the FOS to **publish determinations**, which firms should reference when assessing similar complaints.

0.6.2.1 The Pensions Ombudsman

Deals with complaints about the running of personal/occupational pension schemes, including **maladministration** (undue delay, failure to act, not following own rules/the law, broken promises, incorrect/misleading information, flawed decision-making). Applications are normally required within **three years** of the event (or of the complainant's knowledge of it). Decisions are **final, binding and enforceable in court**.

0.6.3 Financial Services Compensation Scheme (FSCS)

The FSCS handles claims against **insolvent or no-longer-trading** authorised firms (redress against a still-trading firm is sought via the FOS). Eligible claims must concern **protected investment business**: designated investment business with/for the claimant (or as their agent); AUT manager/trustee activities (claim by a unitholder); or ICVC ACD/depositary activities (claim by a shareholder).

KEY RULE: FSCS COMPENSATION LIMITS:

- **Investment business** (protected investment business): maximum **£85,000**.
- **Deposits** (bank failure): maximum **£85,000**.
- **Long-term insurance** (e.g. whole-of-life, annuities): **100%** of the claim.
- **Pension provider failure**: **100%** compensation.

Claims must normally be brought within **six years** of the event giving rise to them. The FSCS is funded via a levy on FCA/PRA-regulated firms, calibrated by firm type (e.g. for banks, by number of protected deposits held).

SECTION 3.6 – KEY FACTS

1. FCA supervisory model: forward-looking, outcomes-focused, proportionate/evidence-led, transparent, integrated; enforcement tools range from private warnings to public censure, fines and permission variation/cancellation.
2. Appeals against FCA decisions go to the Tax and Chancery Chamber of the Upper Tribunal.
3. Product bans and misleading-promotion bans derive from the Financial Services Act 2012; temporary product bans are limited to 12 months without consultation.
4. Complaints: firms must respond within 8 weeks; FOS referral within 6 years of the event / 3 years of knowledge / 6 months of the firm's final response.
5. Maximum FOS award: £415,000 (post-1 April 2023 referrals, acts/omissions on/after 1 April 2019); £190,000 (earlier acts/omissions).

6. FSCS: £85,000 cap for investment business and deposits; 100% for long-term insurance and failed pension providers.

0.7 Financial Crime

0.7.1 Money Laundering and Terrorist Financing

DEFINITION: MONEY LAUNDERING: The process by which criminals disguise the source of crime proceeds, secondarily seeking a safe haven and a legitimate-seeming financial return. The **Proceeds of Crime Act 2002 (POCA)** replaced prior AML legislation, extending the money-laundering offence to proceeds of *any* crime (not only serious crime, drug trafficking or terrorism). The **Terrorism Act 2000** sets out specific counter-terrorist-financing obligations.

CAVEAT / EXCEPTION: OBJECTIVE BURDEN OF SUSPICION: Under POCA, it is a criminal offence to fail to **be suspicious** of behaviour that would ordinarily give rise to suspicion (an objective test) – not merely to fail to report actual suspicion. Staff have a defence if their employer failed to provide legally required training.

KEY RULE: THE THREE STAGES OF MONEY LAUNDERING:

1. **Placement** – physical injection of criminal cash proceeds into the financial system (most likely via banks/building societies, given the rarity of cash settlement in UK investment transactions; bearer securities outside established clearing warrant special attention).
2. **Layering** – separating proceeds from their source through complex transaction layers to disguise the audit trail (investment businesses are most exposed here and at integration).
3. **Integration** – giving apparent legitimacy to laundered wealth, reintroducing it into the economy as apparently legitimate funds.

Legislative timeline: the **Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 (MLR 2017)** implemented the EU Fourth AML Directive, replacing MLR 2007. The **Money Laundering and Terrorist Financing (Amendment) Regulations 2019** implemented the Fifth AML Directive (from 10 January 2020). The **Money Laundering and Terrorist Financing (Amendment) Regulations 2023** took effect 10 January 2024.

DEFINITION: 2019 REGULATIONS – KEY CHANGES: Extended the scope of persons subject to the 2017 Regulations; extended **Customer Due Diligence (CDD)** measures; created financial-intelligence-unit bank-account-portal access; and introduced **cryptoasset business registration**.

KEY RULE: RISK-BASED APPROACH – FOUR KEY QUESTIONS:

1. What are the firm's ML/TF risks? (jurisdictional, product/service, and customer-type risk)
2. What steps could reduce those risks?
3. What policies/procedures are needed in light of those risks?
4. What procedures are 'appropriate'?

DEFINITION: CUSTOMER DUE DILIGENCE (CDD): Firms must: identify and verify the customer's identity (reliable, independent sources); identify and take risk-sensitive measures to verify the **beneficial owner**; obtain information on the purpose/intended nature of the relationship; keep CDD documentation up to date; and conduct **ongoing monitoring**.

Simplified Due Diligence (SDD) may apply for lower-risk customers/products/geographies (customer and geographical risk factors both considered). **Enhanced Due Diligence (EDD)** is mandatory for: (1) non-face-to-face business; (2) correspondent banking relationships; (3) inherently higher-risk situations; and (4) **politically exposed persons (PEPs)**.

CAVEAT / EXCEPTION: PEP REQUIREMENTS: A PEP is a person discharging prominent public functions, their immediate family, and known close associates. Firms must: obtain senior-management approval for all PEP relationships; take adequate measures to establish source of funds/wealth; and apply enhanced ongoing monitoring. The 2023 Regulations streamline due diligence for **domestic** PEPs, distinguishing them from higher-risk foreign PEPs (reflecting an assumption of lower risk absent other factors).

CAVEAT / EXCEPTION: HIGH-RISK JURISDICTIONS AND ADDITIONAL EDD TRIGGERS: The 2017 Regulations introduced a '**blacklist**' of **high-risk jurisdictions**: involvement of such a jurisdiction in a transaction makes EDD and additional risk assessment compulsory. The 2020 Regulations added further high-risk factors triggering EDD/enhanced monitoring, including: transactions involving parties based in high-risk third countries; the customer being the beneficiary of a life insurance policy; a third-country national seeking residence rights or citizenship in exchange for capital transfers, property purchase, government bonds or corporate investment (so-called 'golden visa' routes); non-face-to-face relationships or transactions lacking safeguards such as electronic identification processes; and transactions relating to oil, arms, precious metals, tobacco products, cultural artefacts, ivory or other items connected to protected species, or of archaeological, historical, cultural, religious or rare scientific significance.

Firms must appoint a **Money Laundering Reporting Officer (MLRO)** (the 'Nominated Officer' under the Regulations) and an AML compliance officer (which may be the same individual). The MLRO reports suspicious transactions to the **National Crime Agency (NCA)**.

0.7.2 The Joint Money Laundering Steering Group (JMLSG)

The FCA has regard to **JMLSG** guidance (approved by HM Treasury, produced by leading UK financial-industry trade associations) when assessing SYSC AML breaches. Main requirements: internal controls/policies/procedures; a central law-enforcement point of contact (MLRO/Nominated Officer); a **Management Responsibilities Map** allocating the AML prescribed responsibility to an SMF Manager (deposit-takers, insurers, investment banks under SM&CR); identification procedures; **record-keeping** (≥ 5 years post-completion, covering identification, transactions, suspicion reports, and training records); recognition/reporting of **suspicious transactions** (inconsistent with known legitimate activity); and **training**.

KEY RULE: MONEY LAUNDERING OFFENCES AND PENALTIES:

- **Assistance** (concealing/disguising, converting/transferring, or acquiring/retaining/using/controlling criminal property) – up to **14 years'** imprisonment and/or a fine.
- **Tipping-off** (informing someone connected to an investigation that it is occurring) – up to

2 years' imprisonment and/or a fine (section 333A POCA, regulated sector).

- **Failure to disclose** knowledge/suspicion – up to **5 years'** imprisonment and/or a fine. (The **Serious Crime Act 2015** protects good-faith reporters from civil liability.)
- **Failure to comply** with the Regulations (e.g. inadequate identification procedures) – up to **2 years'** imprisonment and/or a fine.
- **False or misleading statement** (reckless, in an AML context) – fine and/or up to **2 years'** imprisonment.

0.7.3 Insider Dealing

DEFINITION: INSIDER DEALING: Dealing in a public company's securities by individuals with access to material non-public information. Governed by **Part V of the Criminal Justice Act 1993 (CJA)** (in force April 1994, implementing an EU Directive). The **Insider Dealing (Securities and Regulated Markets) Order 2023** (replacing the 1994 Order, effective 15 June 2023) updated the covered securities to align with UK MAR's financial instruments list (adding currency options, credit default swaps and CIS units such as ETFs) and covered markets/venues (c. 130 regulated markets, 230 MTFs, 75 OTFs, plus NASDAQ, NYSE and the SIX Swiss Exchange).

KEY RULE: THREE PRINCIPAL INSIDER-DEALING OFFENCES:

1. **Dealing** while in possession of inside information.
2. **Encouraging** another to deal, knowing/believing dealing will occur.
3. **Disclosing** inside information other than in the proper performance of one's duties.

Covered dealings include on-exchange transactions and off-market deals via professional intermediaries (including underwritings and firm placings), but generally excluding accountants/solicitors acting as such.

DEFINITION: INSIDE INFORMATION: Price-sensitive information of a **specific and precise nature** that, if made public, would be **likely to have a significant effect on price**.

KEY RULE: MAIN DEFENCES TO INSIDER DEALING:

- Information passed on in the proper performance of duties, without expectation the recipient would deal.
- The dealing was not intended to make a profit or avoid a loss.
- A new issue was stabilised strictly under FCA stabilisation rules.
- A market maker acted genuinely in the ordinary course of business while holding inside information.
- The person only knew that certain securities were to be/had been issued/acquired/disposed of, making dealing reasonable (e.g. predator companies buying target shares before a bid announcement).
- Acting as a market participant on a recognised exchange in the normal course of business with unpublished price-sensitive information obtained in that normal course.

A **Chinese wall** – an information barrier between divisions (e.g. corporate advisory vs. brokering) – guards against inadvertent insider dealing.

Penalties: summary conviction (magistrates' court) – fine up to the statutory maximum and/or up to **6 months'** imprisonment; conviction on indictment (crown court) – fine and/or up to

10 years' imprisonment. Under **Part 11 FSMA**, the FCA has wide powers to compel documents/information (non-compliance is contempt of court), and police-equivalent powers (interview under caution, search/seizure warrants).

0.7.4 Market Abuse

The **Financial Services and Markets Act 2000 (Market Abuse) Regulations 2005** implemented the original Market Abuse Directive; the revised **EU Market Abuse Regulation (EU MAR)** took effect July 2016, onshored post-Brexit as **UK MAR**.

KEY RULE: KEY MAR CHANGES: Extended scope to instruments traded on MTFs/OTFs and certain OTC activity (derivatives, CDS); introduced a prohibition on **attempted** market manipulation (even if uncompleted, e.g. due to technical failure); and modified Disclosure and Transparency Rules, including a requirement for issuers to notify the competent authority of delayed disclosure, with a written explanation available on request.

DEFINITION: PRESCRIBED MARKET AND QUALIFYING INVESTMENT: For civil market abuse to occur, behaviour must relate to a **qualifying investment** traded on a **prescribed market** (essentially a UK RIE and other EEA regulated markets).

KEY RULE: TYPES OF BEHAVIOUR CONSTITUTING MARKET ABUSE:

- **Insider dealing** – dealing/attempting to deal in a qualifying investment on the basis of inside information (parallels the criminal offence).
- **Unlawful disclosure** – disclosing inside information other than in the proper course of employment/profession/duties (e.g. social disclosure by a director, or selective analyst briefings by PDMRs).
- **Manipulating transactions** – giving a false/misleading impression of price or demand (e.g. a squeeze via cornering supply of deliverable bonds).
- **Manipulating devices** – transactions/orders employing fictitious devices or other deception.
- **Dissemination** – spreading information known (or reasonably expected to be known) to be false/misleading as to a qualifying investment.

EXAMPLE: INSIDER DEALING UNDER MAR: Sara, a director at Oyster plc, tells her friend Bradley over lunch that her company has received a premium takeover offer. Bradley enters a spread bet on Oyster plc's share price in anticipation of the announcement – this is insider dealing under MAR.

EXAMPLE: UNLAWFUL DISCLOSURE UNDER MAR: Henry, a director at Star plc with no connection between Jamelia and the company, tells Jamelia (a friend, socially) that his company has received a premium takeover offer – this is unlawful disclosure under MAR.

Market abuse is a **civil** offence (the FCA can seek a court-imposed fine or issue a statement/financial penalty 'sanction'), existing alongside – not replacing – criminal legislation (insider dealing under CJA 1993, and other offences prosecutable under **sections 401/402 FSMA**, e.g. FCA listing-rule breaches, misleading statements/market manipulation, misleading the FCA).

0.7.5 Bribery Act 2010, Criminal Finances Act 2017 and Economic Crime and Corporate Transparency Act 2023

KEY RULE: BRIBERY ACT 2010 – FOUR OFFENCES:

1. **Paying bribes** – offering/promising/giving a financial or other advantage to induce/reward improper performance of a relevant function/activity.
2. **Receiving bribes** – receiving/requesting/agreeing to receive such an advantage.
3. **Bribery of foreign public officials.**
4. **Failure of commercial organisations to prevent bribery** – committed where a person **associated** with the organisation bribes another to obtain/retain business, and the organisation **cannot show adequate procedures** were in place. This is a strict-liability-style corporate offence: the organisation may be guilty even without senior-management knowledge; the defence is limited to demonstrating adequate anti-bribery procedures.

Penalties: up to **10 years'** imprisonment for an individual; an unlimited fine for a convicted company.

DEFINITION: CRIMINAL FINANCES ACT 2017: Targets corruption, money laundering and tax evasion, making it easier to seize criminal proceeds. Key changes: enhanced proceeds-of-crime investigation powers (unexplained wealth orders, further information orders, PEP applications); **Suspicious Activity Reports (SARs)** reform (including 'Super SARs' and up to a **seven-month** moratorium extension); improved civil asset-recovery powers; extended anti-money-laundering coverage to terrorist financing; and two new corporate tax offences – **failure to prevent facilitation of UK tax evasion** and **failure to prevent facilitation of foreign tax evasion** (the latter requiring a UK nexus and dual criminality).

KEY RULE: ECONOMIC CRIME AND CORPORATE TRANSPARENCY ACT 2023: In force from October 2023 (staged implementation). Key features: Companies House reforms improving corporate-register transparency; expanded NCA and Serious Fraud Office information-gathering powers; and a new corporate criminal offence of **failure to prevent fraud** for 'large organisations' (a defence of adequate fraud-prevention procedures applies).

DEFINITION: 'LARGE ORGANISATION' DEFINITION: A UK body corporate or partnership meeting **two of three** criteria: (1) more than **250 employees**; (2) turnover exceeding **£36m**; (3) balance sheet total exceeding **£18m**. Liability arises where an '**associated person**' (employee, agent, subsidiary, or anyone performing services for the organisation) commits a specified fraud offence for the organisation's benefit, without reasonable fraud-prevention procedures in place – *without* needing to show management knowledge or direction. An unlimited fine applies on conviction; this is a corporate offence and does not create individual liability.

SECTION 3.7 – KEY FACTS

1. Money laundering has three stages: placement, layering, integration; POCA 2002 imposes an objective suspicion standard.
2. CDD is mandatory for all customers; EDD is mandatory for non-face-to-face business, correspondent banking, inherently higher-risk situations, PEPs, and (per the 2017/2020 Regulations) high-risk-jurisdiction and other prescribed high-risk-factor transactions.
3. The JMLSG guidance informs FCA assessment of AML systems/controls breaches; firms must appoint an MLRO who reports suspicious activity to the NCA.
4. Insider dealing (CJA 1993 Part V) has three offences: dealing, encouraging, disclosing – penalties up to 10 years' imprisonment on indictment.
5. Market abuse (UK MAR) is a civil offence covering insider dealing, unlawful disclosure, manipulating transactions/devices, and dissemination – it runs in parallel with, not instead of, criminal law.
6. The Bribery Act 2010's fourth offence (failure of commercial organisations to prevent bribery) is a strict, procedures-based corporate offence.
7. The Economic Crime and Corporate Transparency Act 2023 introduces a 'failure to prevent fraud' offence for large organisations (250+ employees, or £36m+ turnover, or £18m+ balance sheet – two of three).

Chapter 4

Legal Concepts

Contents

1 Chapter Overview	2
2 Legal Concepts	3
2.1 Legal Persons and Power of Attorney	3
2.1.1 Legal Persons	3
2.1.2 Power of Attorney	3
2.2 The Basic Law of Contract and Agency	5
2.2.1 Elements Required for a Valid, Enforceable Contract	5
2.2.2 Types of Contract	6
2.2.3 Contract Discharge (Ending a Contract)	6
2.2.4 Breach of Contract	6
2.3 Ownership of Property	7
2.3.1 Forms of Co-Ownership	7
2.4 Insolvency and Bankruptcy	9
2.4.1 Liquidation	9
2.4.2 Insolvency vs. Bankruptcy	10
2.4.3 Personal Bankruptcy	10
2.4.4 Individual Voluntary Arrangement (IVA)	10
2.5 Wills and Intestacy	12
2.5.1 Conditions for a Valid Will	12
2.5.2 Executors, Administrators, and Probate	12
2.5.3 Intestacy	12
2.6 The Main Types of Trusts and Their Uses	14
2.6.1 Bare Trust	14
2.6.2 Interest in Possession Trust (Life Interest Trust)	14
2.6.3 Charitable Trust	15
2.6.4 Discretionary Trust	15
2.6.5 Discretionary Trusts and Inheritance Tax (IHT) Planning	15
2.7 The Trustee Act 2000	17
2.7.1 Investment Powers Under the Act	17
2.7.2 Main Duties and Powers of a Trustee	17
2.8 The Statement of Investment Principles (SIP)	19
2.8.1 Contents of the SIP	19
2.8.2 Process for Drawing Up the SIP	19
2.8.3 Review and Delegation	19
3 Consolidated Key Takeaways	21

1 Chapter Overview

The relationship between an adviser and a client is shaped by a number of legal concepts. In carrying out their role, the adviser must understand their own legal status, as well as that of their firm and their client. This chapter covers six interlinked areas of law that underpin the adviser-client relationship and personal financial planning more broadly:

1. **Legal persons and power of attorney** – the legal status of individuals and entities, and the mechanisms by which decision-making authority can be delegated.
2. **The basic law of contract and agency** – the legal framework governing agreements, including the relationship where a financial services entity acts on behalf of clients.
3. **Ownership of property** – the distinction between legal and beneficial ownership, and the different ways property can be co-owned.
4. **Insolvency and bankruptcy** – the legal processes that apply when companies or individuals cannot meet their financial obligations.
5. **Wills and intestacy** – the rules governing the distribution of a deceased person's estate.
6. **Trusts, the Trustee Act 2000, and the Statement of Investment Principles** – the legal nature of different types of trust, and the duties, powers and investment obligations of trustees.

• Why This Matters for Advisers

An adviser must understand their own legal status, the legal status of their firm, and that of their client, in order to act appropriately, understand the scope of their authority, and correctly interpret arrangements such as trusts, joint ownership, and powers of attorney that clients may bring into a financial planning relationship.

2 Legal Concepts

2.1 Legal Persons and Power of Attorney

2.1.1 Legal Persons

Definition : Legal Person

A **legal person** has rights, protections, privileges, responsibilities and liabilities under law, just as **natural persons** do.

Common examples of legal persons:

- Companies
- Sovereign states
- Co-operatives

Key features of legal personality:

- Legal personality allows one or more natural persons to act as a single entity (a **composite person**) for legal purposes.
- In many jurisdictions, legal personality allows such a composite to be considered under law separately from its individual members or shareholders.
- As a result, a legal person may:
 - Sue and be sued;
 - Enter into contracts;
 - Incur debt; and
 - Have ownership over property.
- Entities with legal personality may also be subject to certain legal obligations, such as the requirement to pay tax.
- Legal personality may **shield an entity's participants** (such as shareholders) **from personal liability**.

• Key Point

The concept of legal personality is central to understanding limited liability: because a company is a separate legal person from its shareholders, the shareholders' personal assets are generally protected from the company's debts and liabilities.

2.1.2 Power of Attorney

Definition : Power of Attorney

A **power of attorney** is a legal document that allows a person to give another person or persons the power to make decisions about their financial affairs and/or their health and personal welfare.

Power of attorney can take two forms:

- **Enduring Power of Attorney (EPA)**
- **Lasting Power of Attorney (LPA)**

Instrument	Key Facts
LPA (Lasting Power of Attorney)	Created in 2007 under the Mental Capacity Act 2005 ; replaces the previous EPA regime.
EPA (Enduring Power of Attorney)	EPAs created before 2007 remain valid . Must be registered with the Office of the Public Guardian (OPG) when the donor starts to lose mental capacity.

There are two types of LPA:

1. **Property and affairs LPA** – gives a person the ability to make decisions about somebody else's financial affairs.
2. **Personal welfare LPA** – gives a person the ability to make decisions relating to somebody else's personal healthcare and welfare, including decisions to give or refuse consent to treatment on their behalf.

Caution / Exception

An LPA **must be registered with the Office of the Public Guardian (OPG)** to be effective. This is a critical procedural requirement – an unregistered LPA does not confer legal authority. Note the distinct trigger for EPA registration: an EPA established before 1 October 2007 can still be used, but must be registered with the OPG once the donor *begins to lose mental capacity* (registration is not automatic/immediate upon creation, unlike the general expectation for LPAs).

Section Summary

- A legal person has the same core legal rights/obligations as a natural person and can act, sue, be sued, and own property in its own right.
- Power of attorney delegates decision-making authority; the LPA (post-2007, under the Mental Capacity Act 2005) has replaced the EPA, though pre-2007 EPAs remain valid.
- Two types of LPA: **property and affairs** vs. **personal welfare**.
- Registration with the OPG is essential for legal effectiveness.

2.2 The Basic Law of Contract and Agency

Definition : Contract

A **contract** is essentially an agreement creating and defining the obligations between two or more parties.

2.2.1 Elements Required for a Valid, Enforceable Contract

For a contract to be legally binding, several essential elements must be present. If any of these elements are absent, the courts may decide that no contract exists.

(1) Offer

- The origin of a contract begins with an **offer**.
- Once the offer is accepted unconditionally, the contract is formed.

(2) Acceptance

- Following an offer, there must be a willingness from the accepting party to enter into the contract.
- To make the contract complete, there must also be specific terms and conditions set out and accepted.
- Once the terms and conditions have been offered and accepted, and no further negotiations are intended, the contract is said to be **complete** or **full**.

(3) Consideration

- A contract may not be enforceable by law if there was **no consideration**.
- This means there must be **mutual consideration** on either side – e.g. one person promises to provide a service and the other pays in return.

(4) Intention (to create legal relations)

- Where parties make an agreement with **no intention** of it becoming legally binding, it will not be judged to be a contract in the eyes of the law.
- In some cases, such as **commercial contracts**, there is an assumption that the contract is intended to be legally binding.
- If a party wishes to argue in court that there was never any intention to create a binding contract, they need clear written evidence to support this.

(5) Terms and Conditions

- In a contract dispute before the courts, strong emphasis is placed on the terms and conditions of the contract.
- A contract cannot be complete if the terms and conditions are not fully laid out, and the conditions must not be vague or ambiguous.
- A contract is not usually seen as legally binding if the terms and conditions are unclear – although every case is different, and a judge may attempt to clarify disputed terms.

2.2.2 Types of Contract

- In most cases, it makes sense to formalise agreements with a **written contract**.
- However, a contract may still be upheld if made **orally**.
- There are certain circumstances where contracts **must** be made in writing, such as:
 - The sale of property; and
 - Tenancy agreements.
- If a dispute reaches the courts and no written contract or statement exists, the judge may look at **how services, promises and exchanges were carried out in practice** in order to reach a decision.

2.2.3 Contract Discharge (Ending a Contract)

A contract can come to an end in one of **four** ways:

1. **Performance** – the obligations of the contract have been accomplished by both parties.
2. **Agreement** – both parties agree to end the contract, or one party releases the other from the agreement.
3. **Frustration** – events occur that make completion of the contract impossible, such that the obligations could not be met.
4. **Breach** – see below.

2.2.4 Breach of Contract

Definition : Breach of Contract

A **breach of contract** occurs if one party does not fulfil one or more of the specified terms and conditions. It can also occur if the work carried out is **defective**, or if one party makes clear to the other that they will **not** be carrying out the agreed work.

- The law can be brought to judge on a contract dispute and can award the innocent party **damages**.
- **Financial damages** may only be awarded if the innocent party can **prove financial loss**.
- Court costs and solicitors' fees should be weighed against the likelihood of damages being awarded before proceeding with litigation.

Section Summary

- A valid contract requires: **offer, acceptance, consideration, intention** to create legal relations, and clear **terms and conditions**.
- Contracts may be written or oral, though certain transactions (e.g. property sales, tenancies) must be in writing.
- Contracts are discharged by **performance, agreement, frustration, or breach**.
- Damages for breach require proof of financial loss; litigation costs must be weighed against likely recovery.

2.3 Ownership of Property

Under English law, there are **two types of property ownership**: **legal ownership** and **beneficial ownership**.

Definition s: Legal vs. Beneficial Ownership

- **Legal ownership** – the people named on the title documents are the legal owners (e.g. the “registered proprietors” in the proprietorship register at the Land Registry, or those on share registers).
- **Beneficial ownership** – beneficial owners have the right to live in or use a property even where they are not the legal owner. They also have the right to share in the proceeds of any sale, and the power to control a sale of land or buildings.

• Key Point

Legal ownership alone is **not** the most significant form of ownership, since the real economic use and title to the property lies with the **beneficial owner**. Most people own their property as both the legal *and* beneficial owner, but the two can be separated.

Separation of Legal and Beneficial Ownership

- **Client money** is held in an account in the name of a firm (the *legal* owner) but is held *in trust* for its *beneficial* owner, the client.
- **Shares** may be registered in the nominee name of a custodian, who is the legal owner but **not** the beneficial owner.

2.3.1 Forms of Co-Ownership

In general, property can be held in one of three ways:

1. **Absolute ownership** – by an individual, alone.
2. **Tenants in common** – by two or more co-owners, where each person holds a distinct **share** and is free to dispose of that share independently.
3. **Joint tenants** – by two or more co-owners with **equal ownership** of the whole property.

Feature	Joint Tenants	Tenants in Common
Shares	Equal ownership of the whole; no distinct individual share	Each person holds a distinct, separately identifiable share
Disposal during lifetime	Can only dispose of their interest by giving notice to the other joint tenant(s), converting to a tenancy in common	Free to dispose of their own share independently
On death	Share passes automatically to the surviving joint tenant(s) (<i>right of survivorship</i>)	Share passes according to the deceased's will (or intestacy rules) – not automatically to co-owners

Estate Planning Application

A common practice for a couple is to change the ownership of their property from joint tenants to **tenants in common**. This allows each person to own a distinct share of the property, which

they can then bequeath via their **will** to their own family on death, rather than the property passing automatically to the surviving partner. Provided the person has made provisions in their will to allow for market rent to be paid, there should be no liability to the **pre-owned assets tax (POAT)**.

Section Summary

- Legal ownership = who is named on the title/register; beneficial ownership = who has the real economic right to use/benefit from the property.
- Property can be held absolutely, as tenants in common (distinct shares, freely disposable, passes via will), or as joint tenants (equal, undivided ownership, passes by survivorship).
- Converting to tenants in common is a common IHT/estate-planning technique to allow each partner to direct their share via their own will.

2.4 Insolvency and Bankruptcy

Definition : Insolvency

Insolvency is a financial state in which a company can no longer pay its bills and other obligations on time. It occurs when **liabilities or debts exceed assets and cash flow**.

- When a company becomes insolvent, it must take immediate action to generate cash and settle or renegotiate current debts.
- Companies that cannot successfully recover from insolvency often face:
 - Bankruptcy proceedings;
 - Receivership; or
 - Liquidation of all their assets.

2.4.1 Liquidation

Definition : Liquidation

Liquidation is the process by which the existence of a company is brought to an end and its property administered for the benefit of creditors and members.

- A **liquidator** is appointed to:
 - Take control of the company;
 - Collect in all its assets;
 - Pay all its debts; and
 - Distribute any surplus between members.
- The company is then **dissolved** and removed from the Register of Companies.
- The terms **liquidation** and **winding-up** both describe the process by which a company ceases to exist.

Alternatives to liquidation:

1. **Administration** – an administrator is appointed to run the company's affairs and attempts to rescue the company as a going concern.
2. **Voluntary arrangements** – insolvency proceedings are avoided by substituting a satisfactory settlement of financial difficulties between the company and its creditors.

Caution / Exception

People owed money (the **creditors**) by a company in liquidation must make a **formal claim** in order to recover their money – recovery is not automatic.

2.4.2 Insolvency vs. Bankruptcy

• Distinguishing Insolvency and Bankruptcy

Insolvency is commonly confused with bankruptcy, but they are not identical concepts:

- Both occur when liabilities exceed assets.
- **Insolvency is a state of being; bankruptcy is a matter of law.**
- Companies can be insolvent **without** being legally bankrupt.
- Insolvency *can* lead to bankruptcy, but the condition may also be **temporary and fixable** without formal legal protection from creditors.

2.4.3 Personal Bankruptcy

- **Anyone** can apply to the court to become bankrupt, including individuals, sole traders, and members of a partnership.
- There are **different bankruptcy procedures** for companies and for partnerships.
- A person's creditors can usually petition the court to use a bankruptcy order if the person owes **more than £5,000**.
- Once a bankruptcy order has been made against a person, the **official receiver** administers the bankrupt person's financial affairs.
- In the case of a bankrupt person with significant assets, the official receiver will appoint an **insolvency practitioner as trustee**.
- The duty of the trustee is to **sell all the person's permitted assets** (primarily those of high value) and use the proceeds to pay as much as possible to the person's creditors.

2.4.4 Individual Voluntary Arrangement (IVA)

Definition : Individual Voluntary Arrangement (IVA)

An **IVA** is an alternative to bankruptcy, whereby a debtor seeks a formal, negotiated arrangement with creditors to repay debts over time.

Process:

1. To decide whether an IVA is acceptable, a **creditors' meeting** is called and a vote is taken.
2. **Creditors representing at least 75% of those who vote** must vote in favour of the IVA proposal for it to proceed.
3. Once the IVA is approved, creditors are **unable to take any legal action** to recover the debt.
4. Fees are payable but are **included as part of the original monthly repayment** once the proposal is agreed.
5. An insolvency practitioner **reviews the debtor's finances yearly**, and an **annual progress report** is sent to creditors.

Section Summary

- Insolvency = liabilities exceed assets/cash flow (a financial *state*); bankruptcy = the *legal* process/status.
- Liquidation ends a company's existence via a liquidator; alternatives are administration

(rescue) and voluntary arrangements.

- Personal bankruptcy can be triggered by creditor petition (debt > £5,000); official receiver/trustee sells assets to repay creditors.
- An IVA is a creditor-approved (75% by value of those voting) alternative to bankruptcy, halting further legal recovery action once approved.

2.5 Wills and Intestacy

Definition : Will

A **will** is a written document that sets out how the estate of a deceased person should be distributed.

2.5.1 Conditions for a Valid Will

For a will to be valid, **all** of the following conditions must be met:

1. It must be **in writing**.
2. It must be **signed and witnessed by two persons**.
3. The person must be **over 18** when it is made.
4. The person must have the **mental capacity** to make the will and understand the effect it will have.
5. The person must **not** have made it as a result of **pressure from someone else**.

All Five Conditions Are Required

If any one of these five conditions is not satisfied, the will may be considered **invalid**, and the estate would then be distributed under the rules of intestacy rather than according to the deceased's wishes.

2.5.2 Executors, Administrators, and Probate

- A will may specify a designated **executor** or executors.
- Executors are expected to “**execute**” the will – i.e. share out the estate as specified and deal with related complications, such as settling debts and paying any tax before assets are distributed.
- This overall process is known as **probate**.
- Where no executors are specified, someone (normally a beneficiary) will act as an **administrator**, carrying out effectively the same process as an executor.

2.5.3 Intestacy

Definition : Intestacy

A person who dies **without a will**, or with an **invalid** will, is said to have died **intestate**.

- In these circumstances, the estate must be distributed according to the **laws of intestacy**.
- These are a **statutory set of rules** that leave the deceased's estate to their **next of kin in a fixed order**.

Section Summary

- A valid will requires: writing, signature witnessed by two people, testator over 18, mental capacity, and freedom from undue pressure.
- Executors carry out (“execute”) the will through the probate process; where none is named, an administrator performs an equivalent role.
- Dying without a valid will = intestate; the estate is then distributed under a fixed statutory

order to next of kin, rather than according to personal wishes.

2.6 The Main Types of Trusts and Their Uses

Definition : Trust

A **trust** is an arrangement under which a person (the **settlor**) transfers property to another person (the **trustee**), who then manages the trust property on behalf of certain specified persons (the **beneficiaries**).

Key parties in a trust:

- **Settlor** – the person who creates the trust and transfers property into it.
- **Trustee** – the person(s) who manage the trust property on behalf of the beneficiaries.
- **Beneficiaries** – the specified persons for whose benefit the trust property is managed.

Creation of a trust:

- During the **lifetime** of the settlor, by writing a **trust deed**; or
- On the **death** of the settlor, by a **will** or by the **intestacy statutory provisions**.

• Key Point

With regard to managing the investments within a trust, trustees need to follow the provisions of the **Trustee Act 2000** (covered in the next subsection) **unless** the trust deed specifically overrides it.

There are **four main types of trust**:

2.6.1 Bare Trust

Definition : Bare Trust

Under a **bare trust** (also known as an **absolute trust**), the assets are legally owned by the trustees, but the income and any capital gains are treated as belonging to the beneficiary absolutely for tax purposes.

- Typically used when a proposed beneficiary is a **child** who is not able to legally manage the assets themselves.
- The beneficiary has an absolute, immediate entitlement to both capital and income.

2.6.2 Interest in Possession Trust (Life Interest Trust)

Definition : Interest in Possession Trust

Also known as a **life interest trust**: the beneficiary has an interest in the benefit of the assets held in trust until their death.

- Where the trust assets are invested, one party (**Party A**) has the right to the **income** (or occupation of property, if this power is given in the trust deed).
- Party A is said to have an “**interest in possession**.”
- After a specified event (usually the **death of A**), A’s interest in possession ceases.
- After A’s death, the trust assets (the **reversionary interest**) are held for the benefit of the second class of beneficiary, known as the **remainderman**.

Common Use in Wills

This type of trust is commonly used in wills to provide for a **spouse or partner**, while protecting the assets for the ultimate beneficiaries from claims on the survivor's estate – for example, from a new spouse/partner, or from creditors once the surviving spouse has died.

2.6.3 Charitable Trust**Definition : Charitable Trust**

A trust set up for the purpose of **charitable deeds**.

Charitable purposes include:

- Relief of poverty;
- Advancement of religion;
- Advancement of education; and
- Other purposes beneficial to the community.

2.6.4 Discretionary Trust**Definition : Discretionary Trust**

With a discretionary trust, the trust property is held for the benefit of the beneficiaries, and the **trustees have discretion** about **how much** to give to **which beneficiaries** and **when**.

Common structures:

- **For the settlor's children and future grandchildren**, with each becoming entitled to their share of the fund at a specified age. This is the most common will trust for children/grandchildren, with trustee discretion over payment of income until each child becomes entitled to their share at the given age.
- **Naming various beneficiaries** (which may include the settlor's widow/widower), where the trustees have discretion over what is paid and according to need. Useful where there is a need to **defer the decision** about who receives what and when.

- **Distinctive Feature of a Discretionary Trust**

The unique feature of a discretionary trust is the amount of **freedom given to the trustees**. The assets placed in trust become the property (in title at least) of the trust itself, and the trustees assume responsibility for their management. In other trust types, how trustees can act with regard to the assets is very strictly defined; with a discretionary trust, the trustees use their discretion to decide which (if any) of the intended beneficiaries should receive income or capital from the trust.

2.6.5 Discretionary Trusts and Inheritance Tax (IHT) Planning

- Discretionary trusts are particularly useful for mitigating **inheritance tax (IHT)** liabilities.
- One method: establish a discretionary trust in the will of the **first individual from a couple to die**.
- Under this arrangement, the assets that would otherwise pass to the surviving spouse are instead placed into trust.

- The surviving spouse is made a beneficiary (or perhaps the sole beneficiary), and trustees are appointed.
- Crucially, the surviving spouse does **not** have **absolute entitlement** to the assets – as a result, the trust assets are **not treated as part of that individual’s estate for IHT purposes**.
- The settlor should leave a “**letter of wishes**” attached to their will, containing guidance for the trustees on how the trust assets should be distributed to beneficiaries. The main instruction is normally that the beneficiary (surviving spouse) is sufficiently provided for until their death.
- As a result, the surviving spouse retains some practical access to the deceased’s assets while the arrangement potentially avoids an IHT liability.

Caution / Exception

IHT is discussed in more detail in **Chapter 6**. This subsection covers only the trust mechanism used for IHT mitigation, not the detailed tax calculations.

Trust Types at a Glance

Trust Type	Key Feature
Bare/absolute trust	Beneficiary (often a child) has absolute entitlement to income and capital; trustees hold legal title only.
Interest in possession (life interest) trust	One beneficiary (life tenant) receives income/use for life; capital passes to remainderman on their death.
Charitable trust	Established for charitable purposes (poverty relief, religion, education, community benefit).
Discretionary trust	Trustees have full discretion over who receives income/capital and when; useful for IHT planning and deferring decisions.

2.7 The Trustee Act 2000

• Purpose and Scope

The **Trustee Act 2000** governs the rights and duties of trustees, the nature of the trust deed, and the investment powers of trustees. The trust deed of a pension fund, charity, or other trust fund usually allows the overall investment policy to be left to the discretion of the trustees, in consultation with investment advisers.

2.7.1 Investment Powers Under the Act

- The Trustee Act 2000 allows a trustee to make **any kind of investment**, including in **land and property**.
- In exercising this power, a trustee must normally:
 - **Obtain and consider proper advice**; and
 - Have regard to the **standard investment criteria**.

The **standard investment criteria** are:

1. The **suitability** to the trust of an investment; and
 2. The need to **diversify** investments, as appropriate for the circumstances of the trust.
- A trustee must also **review** the investments of the trust, and obtain and consider proper advice about whether the investments should be varied.

Scope Exclusions

The investment provisions of the Trustee Act 2000 do **not** apply to:

- Occupational pension schemes;
- Authorised unit trusts; or
- Certain schemes under the **Charities Act 2011**.

2.7.2 Main Duties and Powers of a Trustee

1. Invest the trust fund.

- The property in the fund is called the **trust fund**.
- A trustee is responsible for ensuring the trust fund is invested for the beneficiaries until the money is distributed.
- If the only property in the trust is an insurance plan, there will be no fund to invest until after any claim on the insurance plan; the proceeds must then be invested until distributed to beneficiaries.

2. Act impartially.

- If there is more than one beneficiary, trustees must **not** act in a way that benefits one of them more than another.

3. Take appropriate advice.

- Trustees should take professional advice before investing the trust fund, **unless**:
 - The fund is so small that the cost of advice would outweigh any benefit; or

- One or more of the trustees is qualified to give advice.
 - Trustees can ask a professional person to act on their behalf in investing the fund, but the **responsibility for the investment remains with the trustee.**
4. **Distribute the trust property.**
 - Trustees should ensure the trust property is passed to the beneficiaries at the appropriate time.
 5. **Keep the trust's property secure.**
 - Trustees are responsible for making sure the trust fund is secure – e.g. if the fund includes a tangible asset like a house, they must ensure it is insured.
 6. **Keep the trust's records.**
 - Trustees must keep a record of any decisions they make and any actions they take, including investments made and any money paid to a beneficiary.
 - Trustees should also keep records of advice taken and any costs the trust has had to pay.

Section Summary

- The Trustee Act 2000 gives trustees broad investment powers (including land/property), subject to obtaining proper advice and applying the standard investment criteria (suitability and diversification).
- Excluded from the Act's investment provisions: occupational pension schemes, authorised unit trusts, certain Charities Act 2011 schemes.
- Core trustee duties: invest the fund, act impartially, take appropriate advice, distribute property, keep it secure, and keep records.

2.8 The Statement of Investment Principles (SIP)

● Background: The Pensions Act 1995

The **Pensions Act 1995** increased trustees' ability to act independently from the employer. Trustees were given the power (and the duty) to appoint their own actuary, auditor and financial advisers. They were also made responsible, in consultation with the sponsoring company, for producing a **Statement of Investment Principles (SIP)**.

Definition : Statement of Investment Principles (SIP)

A document setting out the principles governing how decisions about a pension scheme's investments are made. **All pension funds with more than 100 members must prepare a SIP.**

2.8.1 Contents of the SIP

The SIP must include:

- The scheme's policy on **choosing investments**;
- The **kinds of investments** to be held and the **balance** between different kinds;
- **Risk**, including how risk is to be measured and managed, and the **expected return** on investments, and **realising investments**;
- The extent to which the scheme takes account (if at all) of **social, environmental or ethical considerations** when making investment decisions; and
- How the scheme uses the **rights (including voting rights)** attached to investments it holds, if applicable.

2.8.2 Process for Drawing Up the SIP

Before the SIP is drawn up, the trustees must:

1. **Obtain and consider** the written advice of a person reasonably believed to have appropriate knowledge and experience of financial matters and investment management; and
2. **Consult** with the scheme sponsor.

What "Consultation" Does *Not* Mean

Consultation means **considering the sponsor's views carefully**. It does **not** mean that trustees have to **agree** with the sponsor or **carry out their wishes**. Final authority and responsibility remain with the trustees.

2.8.3 Review and Delegation

- The SIP must be **reviewed every three years**, or whenever there is a **significant change** in investment policy.
- Trustees may **appoint investment managers** to carry out investment policies.
- However, trustees will be **liable for losses** resulting from the negligence and criminal acts of such persons, **unless**:
 - The investment manager has been **properly appointed**; and

- The trustees have taken **all reasonable steps to supervise** them.

Section Summary

- Following the Pensions Act 1995, trustees of pension schemes with more than 100 members must prepare a SIP covering investment selection policy, asset balance, risk/return, ethical considerations, and voting rights usage.
- The SIP requires trustees to take written advice and consult (but not necessarily agree) with the sponsoring employer.
- The SIP must be reviewed at least every three years or on significant policy change.
- Delegating investment management to an appointed manager does not automatically discharge trustee liability – proper appointment and reasonable supervision are both required.

3 Consolidated Key Takeaways

● Legal Persons & Power of Attorney

A legal person (e.g. a company) has separate legal identity from its members, enabling limited liability. An LPA (post-2007, Mental Capacity Act 2005) has replaced the EPA for delegating financial/welfare decision-making, though pre-2007 EPAs remain valid; all must be registered with the OPG.

● Contract Law

A binding contract requires offer, acceptance, consideration, intention to create legal relations, and clear terms. Contracts end via performance, agreement, frustration, or breach; damages for breach require proof of financial loss.

● Property Ownership

Legal ownership (title) can be separated from beneficial ownership (economic benefit). Co-ownership is either as joint tenants (equal, survivorship) or tenants in common (distinct shares, passes via will) – the latter is often used for IHT/estate planning.

● Insolvency & Bankruptcy

Insolvency (a financial state) $\neq$ bankruptcy (a legal status). Company insolvency may lead to liquidation, administration, or voluntary arrangements. Individuals may be made bankrupt (creditor petition, debt > £5,000) or may negotiate an IVA (requires 75% creditor approval by value).

● Wills & Intestacy

A valid will requires writing, two witnesses, testator aged 18+, mental capacity, and absence of undue pressure. Executors administer the estate through probate; dying without a valid will means the estate passes under the fixed statutory rules of intestacy.

● Trusts

Four main trust types: bare (absolute entitlement), interest in possession/life interest (income to life tenant, capital to remainderman), charitable, and discretionary (trustee discretion over distribution – valuable for IHT planning via the “letter of wishes” mechanism).

● Trustee Act 2000 & SIP

The Trustee Act 2000 grants broad investment powers subject to proper advice and the standard investment criteria (suitability, diversification); it excludes occupational pension schemes, authorised unit trusts, and certain charities. Pension schemes with 100+ members must maintain a SIP, reviewed at least triennially, covering investment policy, risk, ethical considerations, and voting rights.